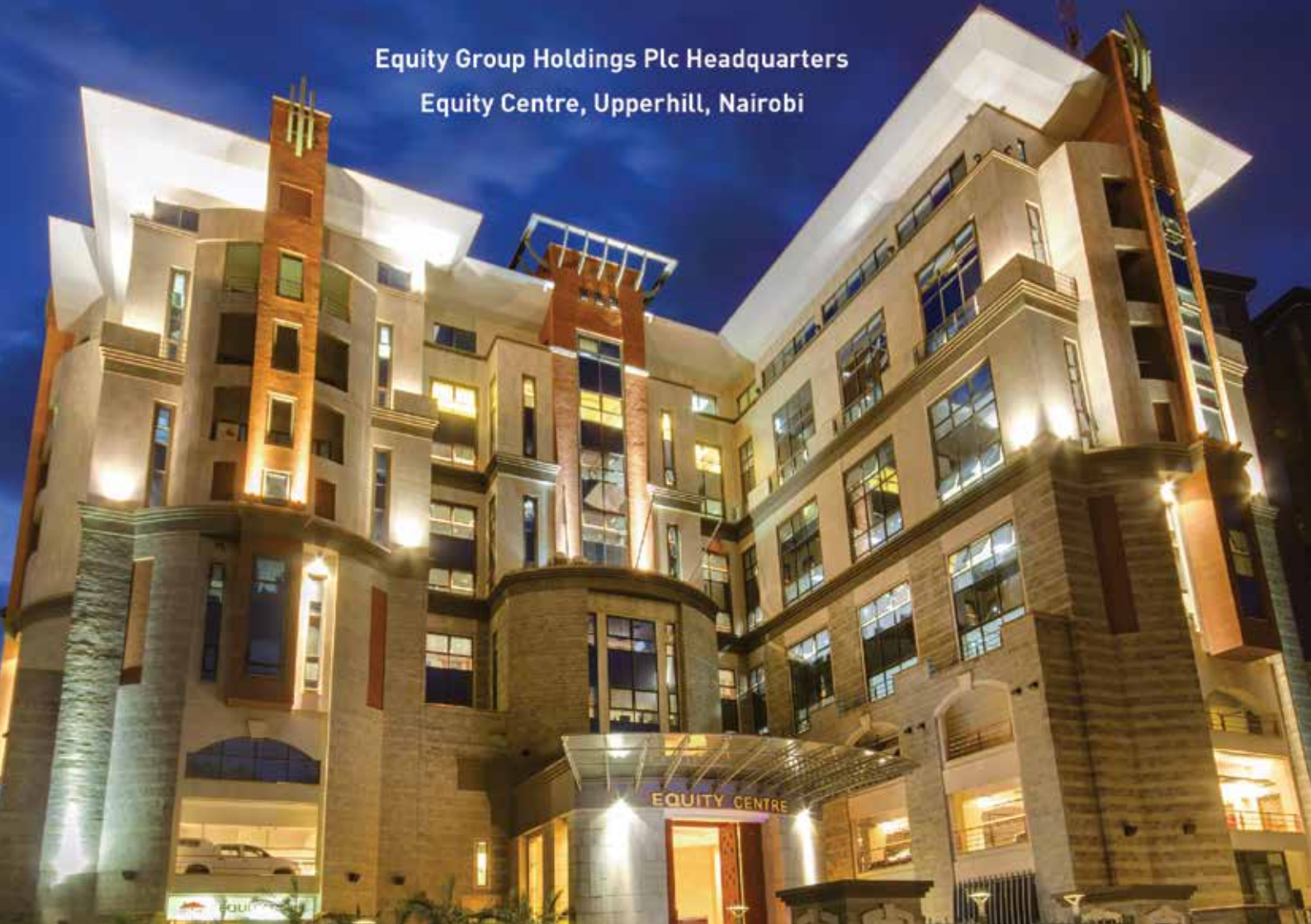


INVESTOR BRIEFING FULL YEAR 2023 PERFORMANCE



Equity Group Holdings Plc Headquarters
Equity Centre, Upperhill, Nairobi



Equity Group's Philosophies

Our Purpose:

Transforming lives, giving dignity and expanding opportunities for wealth creation

Our Vision:

To be the champion of the socio-economic prosperity of the people of Africa

Our Mission:

We offer integrated financial services that socially and economically empower consumers, businesses and communities

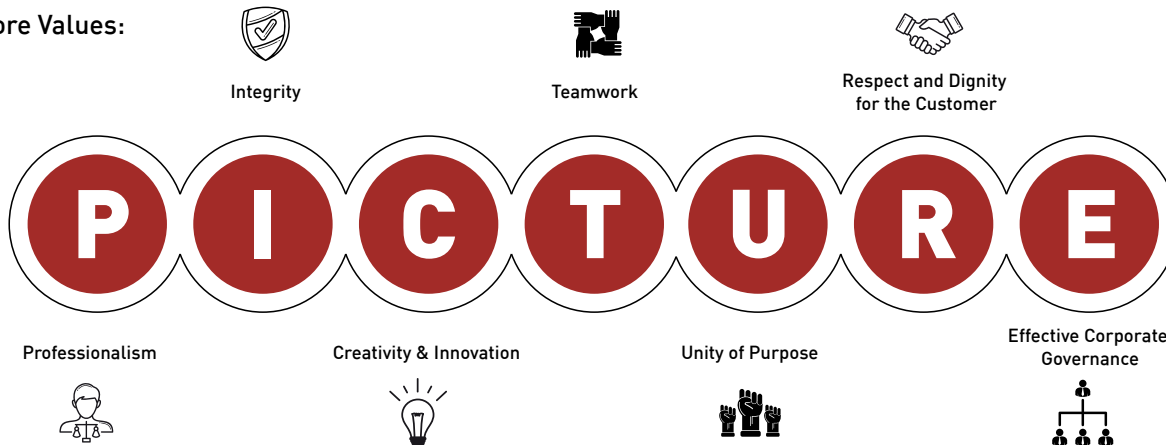
Positioning Statement:

We provide inclusive financial services that transform livelihoods, give dignity and expand opportunities

Our Inspiration

That when years turn our vision dim and gray, we shall still see beauty in the tired wrinkles of our faces and shall take comfort out of the fact and knowledge that when we were given the opportunity, we did all we could to empower our people to exploit opportunities and realize their full potential on the road to economic prosperity

Our Core Values:



MEMBER

MEMBER

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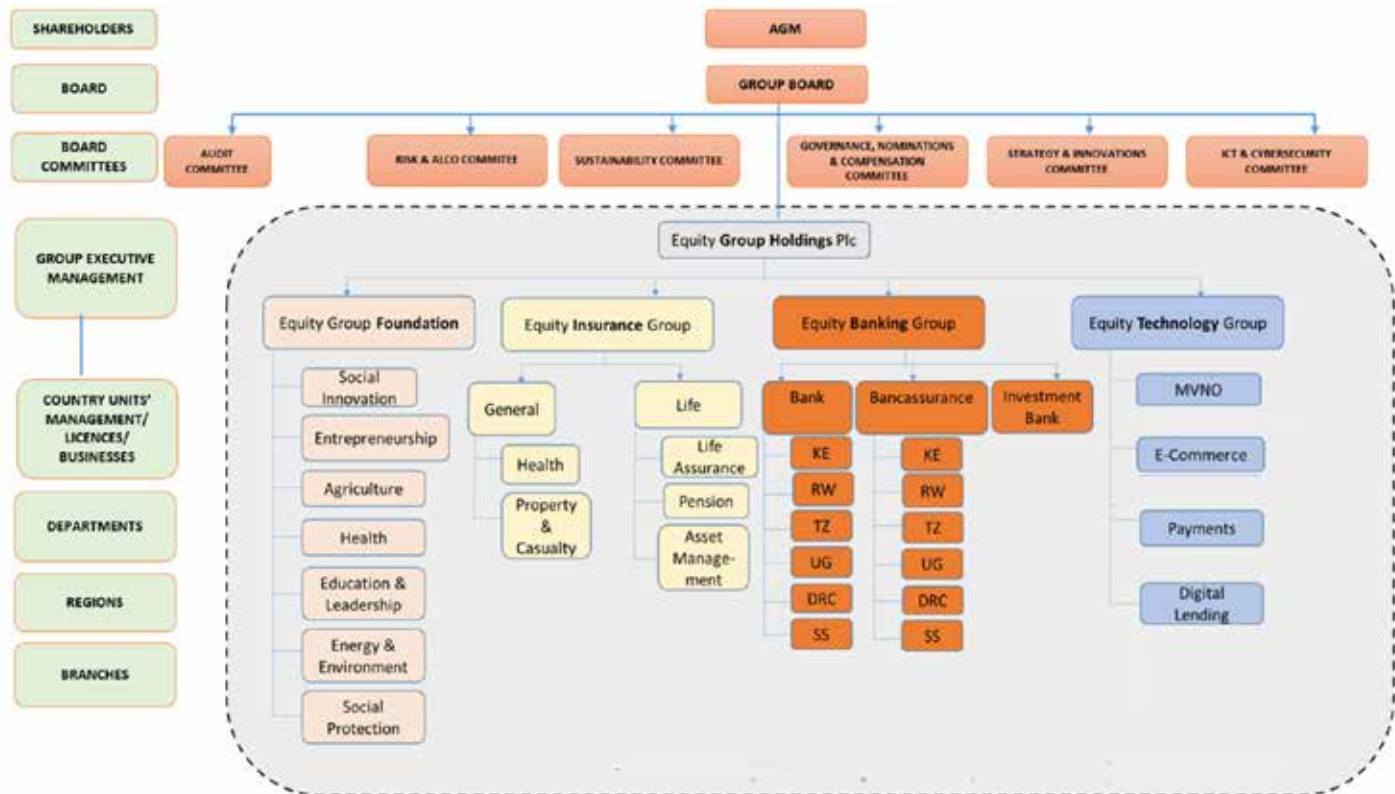
MEMBER

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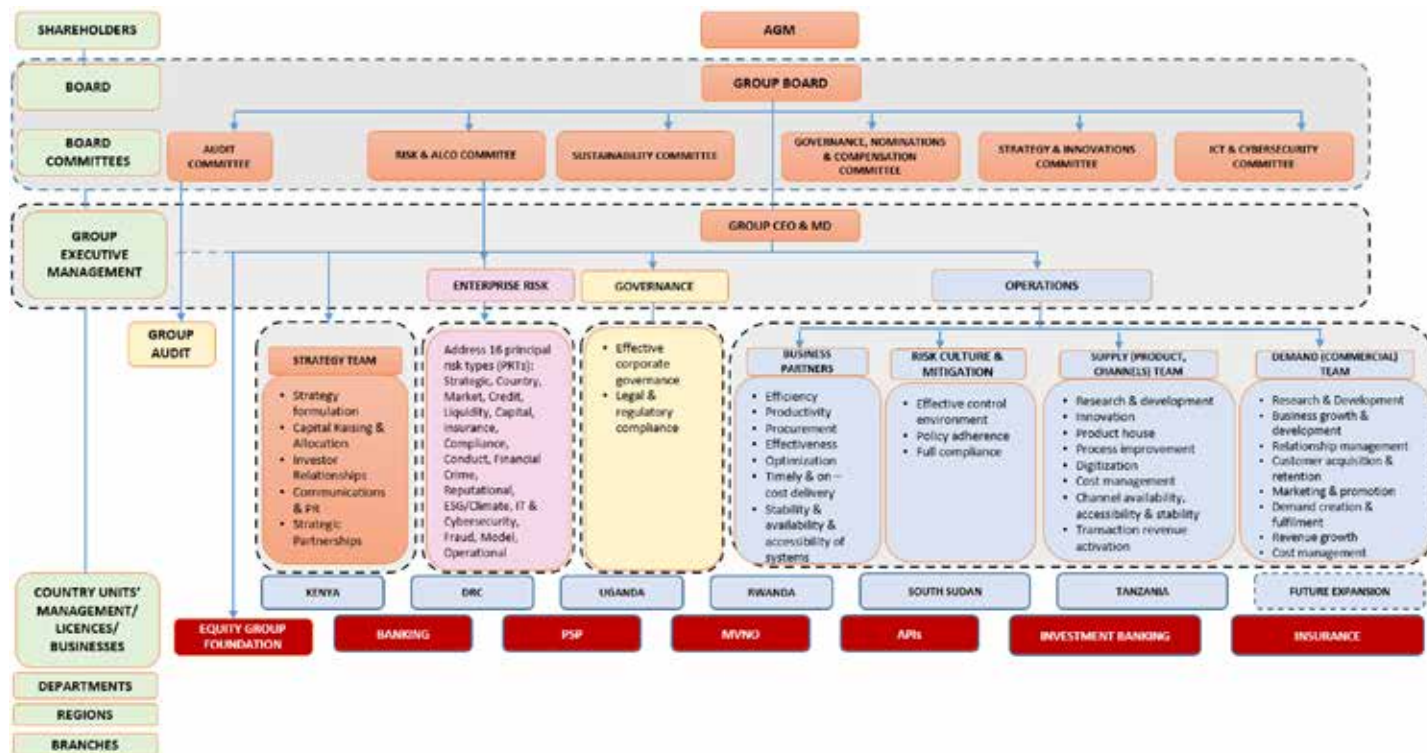
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Governance and Organizational Structure

Governance & Risk Management Framework

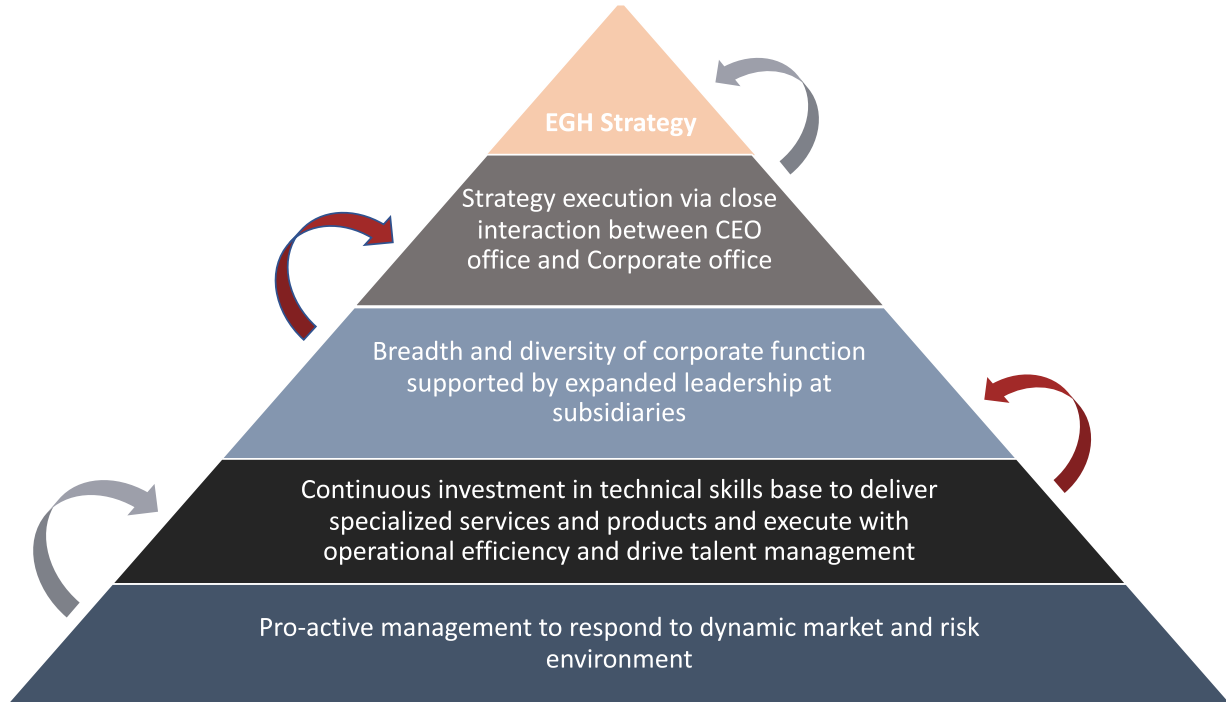


Governance & Responsibility Framework



Governance and Organizational Structure

Breadth and Depth of the Management Team



Group Executive Management



Dr. James Mwangi, CBS
Group Managing Director &
Chief Executive Officer



Mary Wamae
Group Executive Director



Samuel Kirubi
Group Chief Operating
Officer



Samuel Makome
Group Chief Commercial
Officer



Brent Malahay
Group Chief Strategy Officer



Gertrude Karugaba
Chief Legal Officer



Sam Gitwekere
Group Chief Risk &
Compliance Officer



David Ngata
Group Finance Director



Emmanuel Deh
Group Director Credit Risk



Lydia Ndirangu
Group Company Secretary

Group Executive Management



David Ssegawa
Group Director Human
Resources Operations



Ignatius Chicha
Group Director Treasury



Rene Kalonji
Chief Product Officer



Christine Browne
Group Director Special
Assets



Joy DiBenedetto
Group Director
Communications



Michael Kwofie
Chief Information Officer



Reshma Shah
Group Director
Sustainability



Paul Wafula
Group Director Compliance



Thelma Kganakga
Chief Information
Security Officer



Bildard Fwamba
Chief Internal Auditor

Group Executive Management



Gerald Warui
Managing Director,
Equity Bank Kenya



Isabella Maganga
Managing Director,
Equity Bank Tanzania



Anthony Kituuka
Managing Director,
Equity Bank Uganda



Addis Ababa Othow
Managing Director,
Equity Bank South Sudan



Hannington Namara
Managing Director,
Equity Bank Rwanda



Célestin Muntuabu
Managing Director,
EquityBCDC S.A.



Angela Okinda
Managing Director, Equity Life
Assurance (Kenya) Limited

Group Board of Management



Prof. Isaac Macharia
Non-Executive Chairman



Dr. James Mwangi, CBS
Group Managing Director and
Chief Executive Officer



Mary Wamae
Group Executive Director



Dr. Edward Odundo
Non-Executive Director



Vijay Gidoomal
Non-Executive Director



Jonas Mushosho
Non-Executive Director



Dr. Helen Gichohi
Non-Executive Director



Dr. Evans Baiya
Non-Executive Director



Lydia Ndirangu
Group Company Secretary

A woman with dark curly hair, wearing a bright yellow blazer over a black top, stands in the foreground of a theater, smiling and raising her right hand. The background is filled with an audience of diverse people seated in red chairs, many of whom are also raising their hands. The scene is brightly lit, suggesting a formal event or presentation.

MEMBER

Press Release

Press Release

EQUITY GROUP HOLDINGS PROPOSES A RECORD DIVIDEND PAYOUT OF KSHS 15.1 BILLION AFTER KSHS 43.7 BILLION PROFIT AFTER TAX

- Equity emerges as a regional financial services leader with 50% of assets, 51% of revenue and 56% of profit before tax being contributed by regional banking subsidiaries.
- Insurance business grows total assets four-fold to Kshs.19.2 billion from Kshs.4.9 billion and registers 39% growth in profit before tax of 934 million up from Kshs.670 million as return on average Equity picks up to 70.4% on 5.5 million new policies and 1,275,000 unique customers.
- Technology platform enables 6.2 million digital loans with disbursement value of Kshs.284.6 billion.
- Equity Group Foundation derisks 517,247 MSME entrepreneurs through training and capacitating them with Kshs.275.3 billion loans to create 1.3 million jobs under Young Africa Works Program
- To cushion civil servants, teachers and other salaried workers, Equity maintained interest rate at 13% for loans disbursed prior to the implementation of risk-based lending rates currently at 20%- 24%

Wednesday 27th March 2024... Equity Group Holdings has proposed a record dividend of Kshs.15.1 billion for a second year running. While releasing the 2023 full year financial results Dr. James Mwangi, Group Managing Director and CEO said. "The Kshs. 4 per share dividend amounts to a 36% payout of the Kshs.43.7 billion Profit After Tax or Kshs 11.1 earnings per share and dividend yield of 11.9% on the 2023 year-end closing share price of Kshs.33.65 or 800% on par value."

The performance reflected strong momentum as net interest income grew by 21% to Kshs.104.2 billion up from Kshs.86 billion while non-funded income registered an impressive 30% growth to Kshs.75.9 billion up from Kshs 58.3 billion. Gross trade finance revenue grew by 90% to Kshs.11 billion from Kshs 5.8 billion driven by a 106% growth of trade finance

Press Release (continued)

related lending and 26% growth of trade finance guarantees and off-balance sheet items. Total costs grew by 52% to Kshs.128.2 billion up from Kshs 84.5 principally driven by a 139% growth in loan loss provision of Kshs 32.8 billion up from Kshs.13.7 billion to strengthen asset quality buffers. Other operating expenses and staff costs grew by 39% and 28% respectively driven by high inflation and depreciation of the Kenya shilling. Return on average equity stood at 22.3% against an 18% cost of capital. Profit After Tax declined by 5% to Ksh 43.7 billion down from Ksh 46.1 billion as a result of interest expense growing at 53% compared to 30% growth rate of interest income.

Gross balance sheet grew by 26% to Kshs.1.821 trillion up from Kshs 1.447 trillion driven by 29% growth in customer deposits to Kshs 1.358 trillion from Kshs 1.052 trillion. Shareholders' funds grew by 20% to Kshs.218.1 billion up from Kshs 182.2 billion. Deployment of funding saw net loans grow by 26% to Kshs.887.4 billion up from Kshs.706.6 billion while government securities holding grew by 27% to Kshs.500.5 billion up from Kshs.394 billion as cash and cash equivalent grew by 25% to Kshs.290.1 billion up from Kshs 232.4 billion.

The Group business has demonstrated resilience after multiple shocks, interest capping, the COVID- 19 global health pandemic, global supply chain disruptions, Russia/Ukraine war and global macro-economic headwinds exemplified by FX volatility, high inflation and high interest rates over the last 7 consecutive years. During this turbulent period the number of customers has grown to 19.6 million up from 10.4 million, customer deposits have grown to Kshs.1.358 trillion up from Kshs.303.2 billion while the loan book has grown to Kshs.887.4 billion up from Kshs.269.9 billion.

Total assets have grown to Kshs.1.822 trillion up from Kshs.428.1 billion as shareholders' funds grew to Kshs.218.1 billion up from Kshs. 72.1 billion.

Over the last unprecedented 7 years of turbulence, the Group has treaded softly yet boldly pursuing the twin strategy of

Press Release (continued)

being offensive while remaining defensive. The Group has intensified and strengthened its risk management governance framework and a value-based organizational culture that emphasizes on human interactions and attitudes, norms and practices that drive an innovative, customer centric approach, strong compliance and a prudent risk management culture. The Group registered a PAR of 11.7%, a slight improvement from 12.2% at the end of 3rd quarter and favorably comparing with 14.8% industry NPLs. Dr. Mwangi pointed out that, "The NPL trend is consistent with management's view as at the investors 3rd quarter briefing that NPLs had peaked. Prudent risk management culture led the board to approve a proactive derisking of future performance by providing for the lifetime expected loss on outstanding NPLs and increasing loan loss provision by 139% to Kshs.32.8 from Kshs.13.7 billion driving cost of risk to 4.4% while increasing NPL coverage to 67.3% without guarantees and 90% with guarantees."

Deep purpose, a consistently strong risk management culture and a vibrant value-based organization culture have supported the evolution and development of the Group brand to achieve recognition and accolades such as the Oslo Business for Peace Award and the 2nd Strongest Global banking brand by Brand Finance. IFC, the Private sector arm of the World Bank has recognized Equity as the bank with the highest number of green financing loans for climate mitigation and adaptation worldwide.

The defensive strategy adopted by the Group has seen it register strong risk buffers of 53.4% liquidity, relatively strong asset quality with strong NPL coverage and strong capital buffers. Total capital to risk weighted asset ratio of 18.1% reflects a buffer of 3.6% above minimum capital requirements of 14.5% while core capital to risk weighted asset ratio stood at 14.3%, a buffer of 3.8% above the regulatory requirement of 10.5%. The Group is well capitalized and strategically positioned for its offensive growth strategy.

Press Release (continued)

An environmental scan positions East Africa as one of the fastest growing regions in the world. The region accounts for the highest number of countries in Africa with a GDP above 5%, is the second largest recipient of FDI flows in Africa after North Africa and stands out as a key destination of global remittances. The East Africa region has a thriving ecosystem of trade interconnectedness driven by strong regional integration and robust infrastructure. There is a significant upside opportunity in East Africa with Tanzania, Uganda and Rwanda being in the twenty fastest growing countries in the world. More than 63% of the region's population is below the age of 24 years while the median age is below 19 years. DRC holds significant strategic green mineral deposits. This environment uniquely positions Equity Group to tap into the growth potential.

To tap into this opportunity, the Group completed the acquisition of Cofeabank in Rwanda on 30th November 2023, which was subsequently merged into our existing business adding Kshs 36.7 billion in assets resulting in a subsidiary with significant scale with total assets of Kshs. 127.7 billion and 18% market share. This firmly positions us as the second largest bank in Rwanda, which is one of the fastest growing economies in the world.

Equity's Strategy is anchored on building sustainable financial eco-systems, evolving with the needs of the customers and the economies we help to connect. From its heritage as a core banking services provider, and a market leader in Kenya with a market focus served on banking infrastructure and technology build out, Equity Group has evolved into an integrated financial services and technology platform, a richly diversified regional lender, and continues to scale the value chain and connecting fragmented supply chains and trade routes. The future of Equity Group spans beyond banking in keeping with customer needs and core values across banking, insurance, technology and sustainability through social and environmental impact.

In positioning to grow with the Eastern Africa of tomorrow, Equity Group has become a regional systemic financial

Press Release (continued)

services provider in position one or two in four of the six markets it operates in: Kenya, DRC, Rwanda, and South Sudan. A truly Eastern and Central Africa regional bank, Equity Group's deposit distribution is: Kenya 50%, DRC 32%, Uganda 8%, Rwanda 6% with loan distribution: Kenya 51%, DRC 32%, Uganda 8%, Rwanda 6%. Regional banking Subsidiaries and other non-banking subsidiaries hold 50% of the assets, 51% of all revenue and 56% of profit before tax making Equity Group a truly East and Central Africa regional financial services group.

Financial services diversification has seen Equity Group Insurance business being in operation for 21 months. Equity Life Assurance has attracted 1,274,980 unique customers and closed the year with total assets of Kshs.19.2 billion, profit before tax of Kshs.934 million giving a return on average Equity of 70.4% and a return on average assets of 5.4%. As at 30th September Equity Life Assurance had captured 2% of life industry market share at 13th position in the industry and 7% of Group life and credit market share at 6th position in the industry. The Equity Group Insurance business will venture into Health and General Insurance in the course of this year.

The Technology Group enables the business to transform its delivery channels on a technology platform through digitization. MSME and retail digital loan repayments are at 98% and 96% respectively on disbursement value of Kshs.284.6 billion and a 6.2 million disbursement count. Digitization is increasingly making the Group business online, transforming the model from "where you go to what you do on devices and compressing time and geography whatever time, wherever."

In line with its purpose, Equity made a deliberate and intentional strategic decision to support its customers through the current macro-economic turbulence of high inflation, depreciating domestic currencies, exchange rate volatility and high interest rates. Despite approval by the Central Bank to adopt risk based lending rates, currently at 20% to 24% for consumer and retail lending and treasury bills and bonds, attracting 17% /18%, Equity Group opted to maintain 32% of its consumer loans to salaried civil servants, teachers and private sector employees at 13% interest rate to cushion

Press Release (continued)

them and their families during this difficult times. Equity has also maintained all loans disbursed during the interest rate capping period at 13% interest rate. As a result, interest expense for deposits grew by 53% from Kshs 33.6 billion to Kshs 51.4 billion while interest income on loans grew only by 30%.

The Group continues to promote social transformation through its social impact investments championed by Equity Group Foundation, changing lives, giving dignity and expanding opportunities for wealth creation.

Under its Enterprise Development & Financial Inclusion, Equity Group Foundation has trained over 2.4 million youth and women in Financial Education, 517,246 MSMEs trained in entrepreneurship with over Kshs. 275.3B disbursed to trained youth, women and MSMEs. The pillar works to stimulate job creation and economic growth for individuals and MSMEs through financial literacy, entrepreneurship training, business development services and digital literacy, and has been successful in creating over 1.3 million jobs, under Young Africa Works Program.

In Energy, Environment & Climate Change, the Group continues to make its contribution to combating climate change through conservation and promoting the use of renewable energy. 25.2 million trees have been planted and over 420,243 clean energy products distributed to institutions and households.

To promote food security and support farmers to scale their farming ventures as a pathway to driving entrepreneurship and job creation in the agriculture sector, EGF under its Food & Agriculture pillar has impacted over 3.8 million small scale farmers and supported over 292,362 MSMEs in the agriculture sector. It has delivered these efforts through technology, training, access to markets and access to finance.

Press Release (continued)

Under its Social Protection programmes, EGF has reached 5.4 million individuals with social assistance programs including cash transfers, fee waivers, subsidies and social pensions delivered to vulnerable and marginalized populations. Cumulatively, Kshs. 138.39 billion has been disbursed via cash transfers under these programs. Capacity building has been availed as a pathway to transition beneficiary cohorts into economic stability and self-reliance.

In its flagship Health program, Equity Afia, 98 medical centers had been established across the country with over 2.1 million patients served as at 31st December 2023. Equity Afia continues in its expansion strategy, with ongoing rollout in DRC, and continues to avail quality, affordable health services across the franchise network.

In Education and Leadership Development, Equity continues to develop and inspire youth into leaders through access to secondary and tertiary education, mentorship, career training and opportunities. The Wings to Fly and Elimu scholarship programs have seen 60,009 brilliant scholars receive comprehensive high school scholarships, while the Equity Leaders Program (ELP) has supported 23,825 University scholars and alumni of the program. The program has seen 891 scholars attend global universities, including 199 who have attended the Ivy League universities.

EGF has established the Innovation & Technology pillar, leveraging innovation to expand its reach, efficiency in program delivery and impact at scale. The Group envisions innovation, driven by youth as the nucleus of Africa's technology evolution, and as a space where talent and startups not only thrive but also drive the digital transformation targeted to define the continent's social and economic future for generations to come.

"With clarity of the Africa Recovery and Resilience Plan, strong leadership and human capital, strategic positioning in one of the world's fastest growing regions, a diversified business model across banking, insurance, health, philanthropy, technology and its execution, risk management capabilities, resilience and strong buffers, Equity is uniquely positioned to deliver on a positive and promising focus to all its stakeholders," Dr Mwangi added.



Macroeconomic and Operating Environment

Global macro environment

Higher for longer rates and further possible hikes from major central banks

Figure 1: US Fed Rate, Projected %

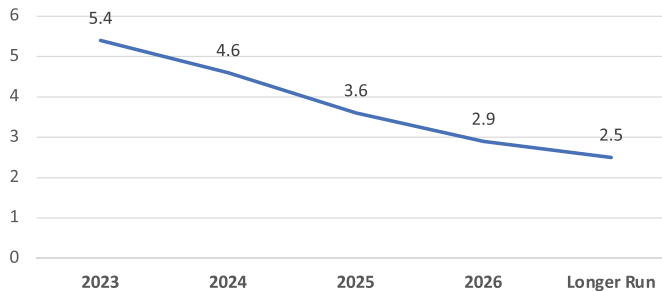


Figure 2: US Effective Fed Funds Rate, %

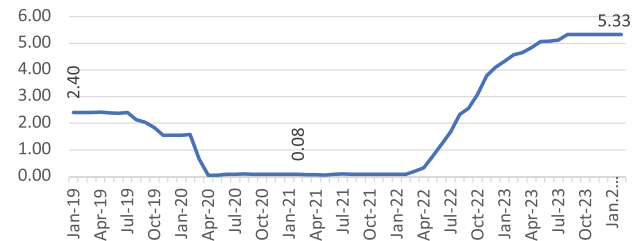
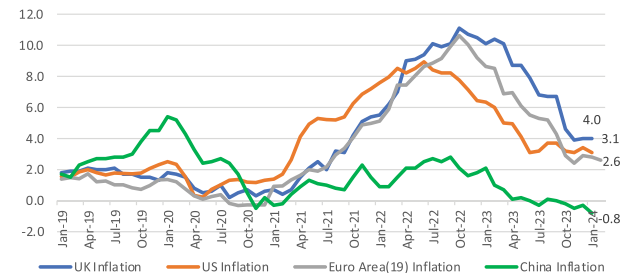


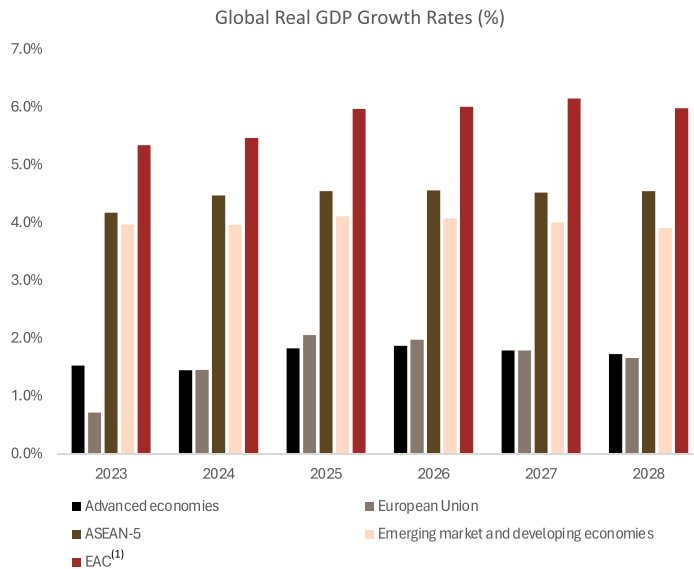
Figure 3: Inflation YOY % - UK, US, EuroZone-19, China



- ✓ The world's major central bankers have indicated holding monetary policy rates higher for longer and that maintaining tight monetary policy is likely, to counter core inflation which remains above their 2% target.
- ✓ Effective Federal Funds Rate has peaked at 5.33% in Feb 2024 with 75bps of rate cuts penciled in 2024 to deliver a 4.6% Terminal Rate.
- ✓ Higher for longer interest rates in the world's major economies, implies foreign capital inflows back to Emerging and Developing Economies (EMDEs) will remain subdued buy yield seeking investors will take positions before the cuts as seen from oversubscription of Eurobonds by Kenya, Cote 'd' Ivoire and Benin.

Sources: US FED ; Various National Bureau of Statistics

East Africa is one of the fastest growing regions in the world and this is EGH's home



“East Africa is set to continue to lead Africa’s growth pulse”⁽²⁾



Accounts for the highest number of countries in Africa with GDP >5%



Second largest recipient of FDI flows in Africa, second only to North Africa



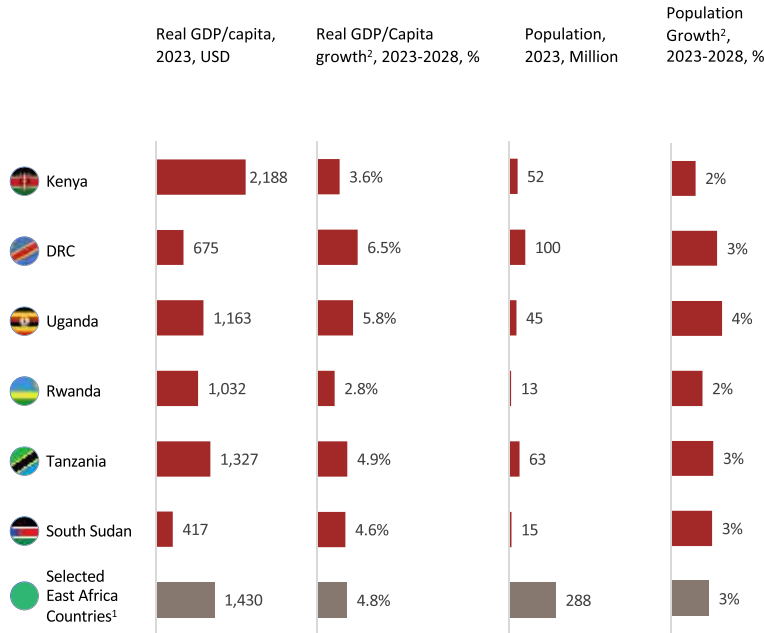
Key destination for global remittances (Kenya – leading recipient, Rwanda – registered 2nd largest growth in 2023)⁽³⁾



Robust track record of successful Eurobond issuances with unparalleled subscription rates

Notes: (1) EAC includes Kenya, DRC, Rwanda, Uganda, Tanzania and South Sudan. (2) AfDB's Africa's macroeconomic performance and outlook Report January 2024. (3) World Bank. Sources: IMF, Africa Development Bank's

There is significant upside opportunity in East Africa & EGH is uniquely positioned to tap into this growth potential



Tanzania and Rwanda are in top 10 fastest growing countries in the world



>63% of target population is 24 years and below, median age is between 15 – 19 years (global average, 30 years)



DRC holds significant mineral deposits in copper, lithium, cobalt, copper



Average Insurance penetration in the region is at 1.34%

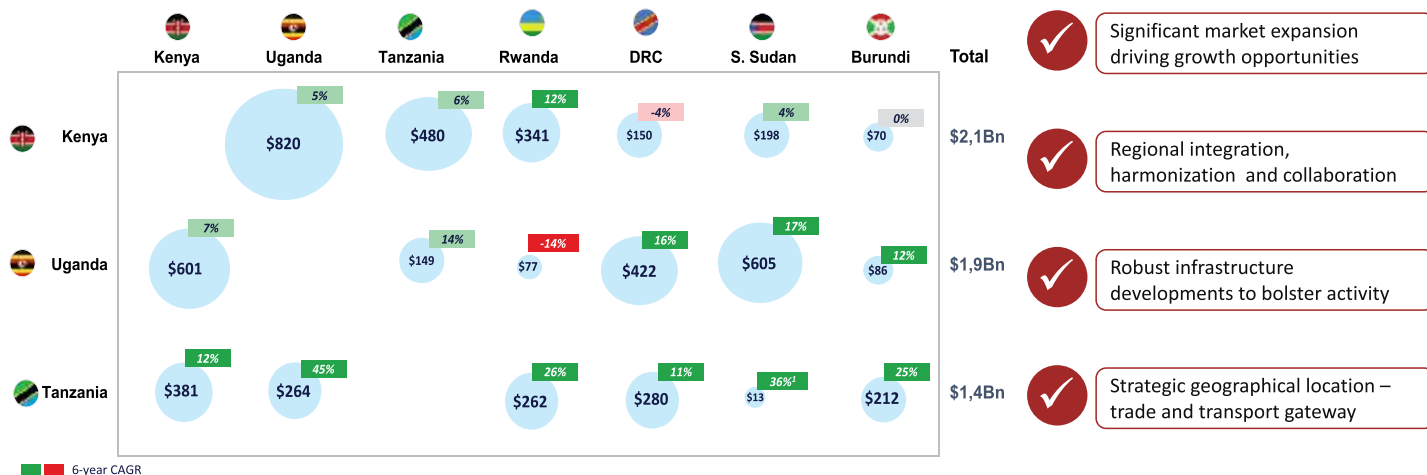


62.9 million mobile devices connected to a mobile network in Kenya – 124.4% penetration.

Notes: (1) Selected East Africa countries analysis aggregates data from Kenya, DRC, Uganda, Rwanda, Tanzania and South Sudan (2) CAGR: compound annual growth rate calculated from 2023 to 2028
Sources: IMF

EGH is at the heart of East Africa's thriving ecosystem of trade connections

Regionally, trade from Kenya, Tanzania & Uganda to EAC is rapidly increasing, \$3.1Bn in 2018 to \$5.4Bn in 2022, indicating improving ties



Notes: (1) . 3-year CAGR instead of 6 as trade started only in 2019; Note: Ethiopia is a member of East African Community yet and thus no trade relations
Source: East African Community

DRC, the largest country in SSA, presents a new and exciting frontier for continued sustainable growth for EGH



Linchpin in world's demand for minerals: significant untapped resource potential – largest global producer of cobalt, produces ~11% of world's copper, significant lithium reserves



Potential to be a global agricultural powerhouse: ~80m ha of arable land, incomparable biodiversity (has the 2nd largest tropical forest in the world)



Abundant hydropower potential: Ranked #1 in Africa with respect to its hydropower potential (10,000MW), equivalent to ~13% of global hydropower potential



Attractive demographic dividend: young vibrant population that is a catalyst for economic growth – driving demand, an unmatched workforce leading entrepreneurship / innovation



Strategic location: at the center of Africa, bordering 9 countries, plays a crucial role in inter-regional trade and a key player in global supply chains



Robust governance and institutional reforms: past critical inflection point, received international endorsements (including a US\$500m DPO⁽¹⁾ facility from World Bank in January 2023⁽²⁾)

Notes: (1) Development Policy Operation (DPO) from World Bank (2) In support of critical economic governance reforms
Sources: World Bank, AfDB, Press

MEMBER

MEMBER

MEMBER

MEMBER

MEMBER

MEMBER

Strategy Overview

Welcome to Equity Group

East Africa's Premier
Financial Services Provider



Core driver and beneficiary of East Africa's growth story

Connecting regional industry, infrastructure and consumers with capital, liquidity, and risk solutions

Across a diversified geographic and product platform built on successful organic growth and acquisition track record

KES 1.8 trillion strong balance sheet, underpinned by the region's largest banking customer, branch network and deposit base

Prudent capital allocation and cost management driving stable and high growth returns for our Members and stakeholders

And at our core, driven by a purpose to transform our customers lives, build society and reduce its environmental impact

2030 Africa Recovery & Resilience Plan

FY23 highlights

Deposits growth	Up 29% y-o-y
Loan growth	Up 26% y-o-y
NPL ratio	11.7%
CIR	52.3%
ROAE	22.3%
ROAA	2.7%

Our customers, human capital and brand

Our customers

..inform our strategy

Customers **19.6 Mn** ▲ **+10.4%**

Customer loans **887.4 Bn** ▲ **+26%**

Our People

...deliver our strategy

13,102 employees across six countries

▲ **+57.2%** increase in headcount ex-Kenya to support regional growth

Establishment of an ESOP available to all full-time employees

Our Brand

...reflects our success

2nd strongest banking brand globally



We are building sustainable financial ecosystems

Then

Core banking
services
provider

Market leader
in Kenya

Mass market
focus

Banking
infrastructure
& technology
build-out

Equity's strategy is evolving with the needs of our customers and the economies we help connect



Now

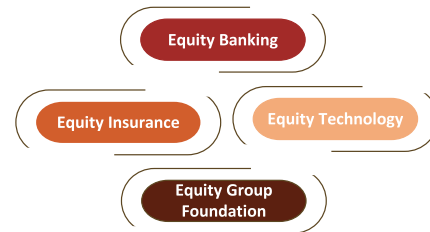
Financial services
and technology
platform

Diversified
regional leader

Moving up the
value-chain

Connecting
fragmented supply
chains and trade
routes

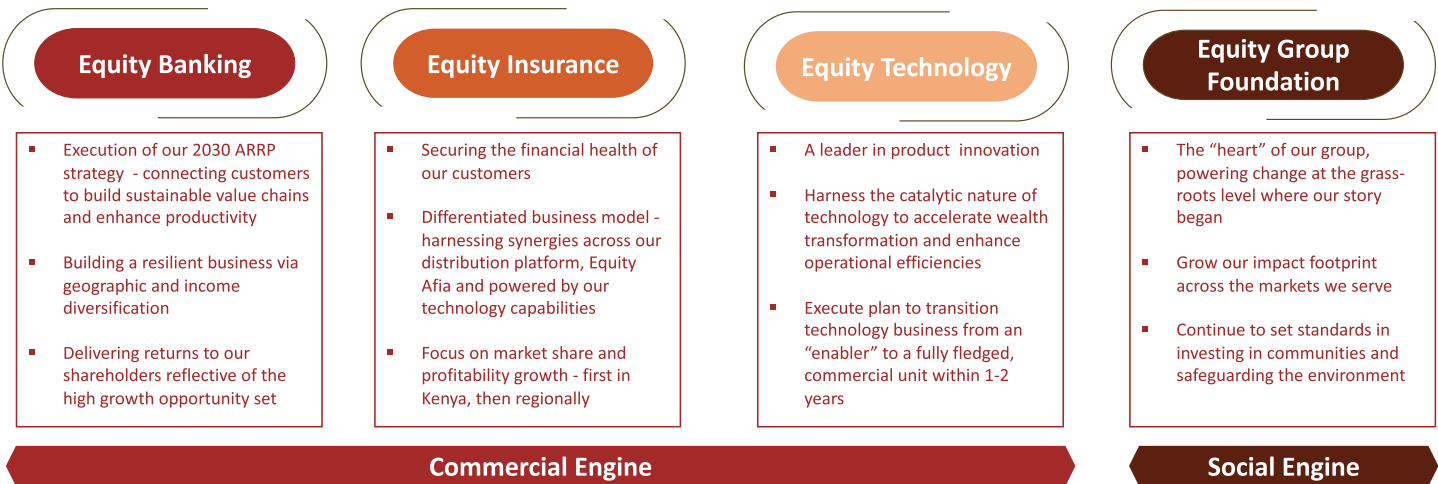
Our
businesses



Our
enablers



Our future is beyond Banking, in line with our customer needs and core values

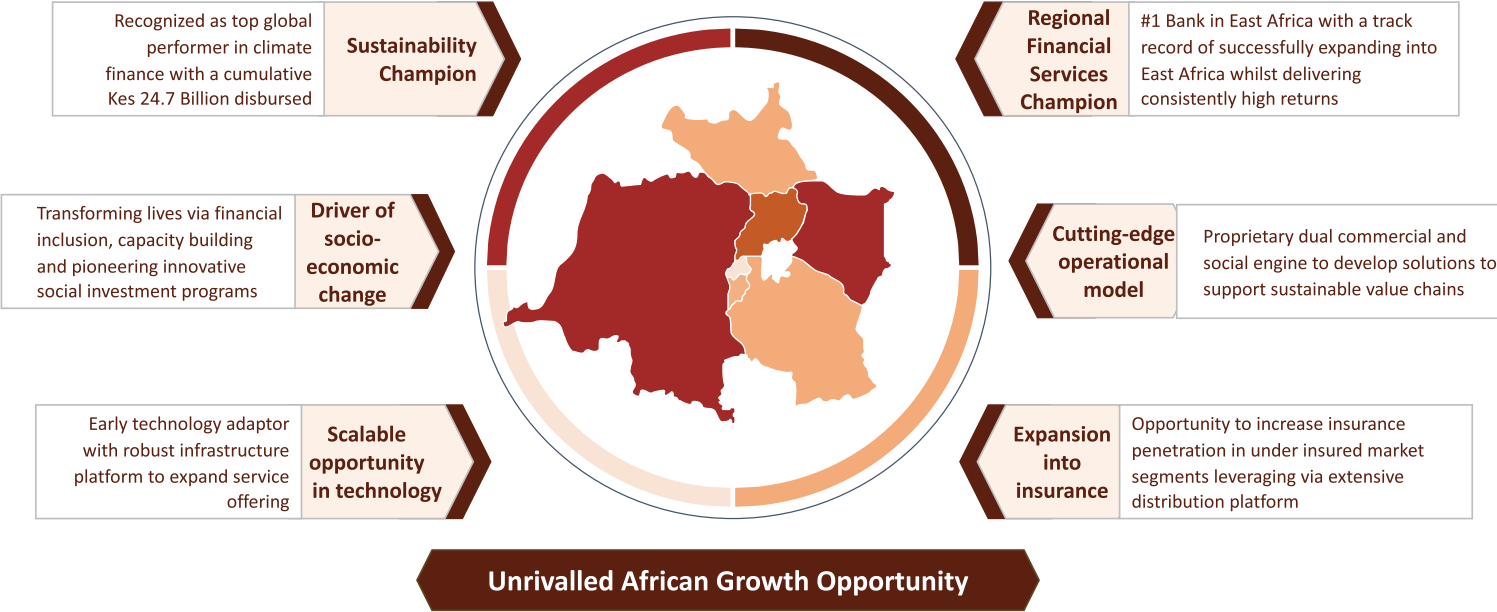


Positioning ourselves to grow with the East Africa of tomorrow

Core business pillars

	Impact on EGH	Impact for our customers	Impact to our investors
Equity Banking	- The largest financial ecosystem connecting and financing MSMEs - Facilitating trade and investment along EAC corridor - Targeting #1 position in our new geographies	- Being there for our Members and customers when they need us - Providing a superior range of cost-effective services and solutions	- Growth in market share - Financial stability - Market leading returns - Cost discipline
Equity Insurance	- Cross-selling ancillary products to an under penetrated customer base - Drive competitive advantage - Consolidate fragmented market	- Deepen financial inclusion and protect commerce, livelihoods, wealth and health - Customer convenience / one-stop-shop	- Drive ROE - Diversification
Equity Technology	- Technology as a platform to accelerate our growth - Enabling the financial infrastructure at the heart of the worlds most advanced FinTech ecosystem	Providing efficient and cost-effective solutions to expand our product range and offering	- Enhance returns - Drive cost-efficiencies
Equity Group Foundation	- An engine of our growth and shared prosperity with the wider community - Provides our cultural and ethical purpose	- Social and economic inclusion - Drives economic growth and opportunity - Empowerment and derisking	- Shared value gain - Contributor to global impact and ESG efforts

Unique Financial Services Platform with Exposure to attractive East Africa Market



MEMBER

MEMBER

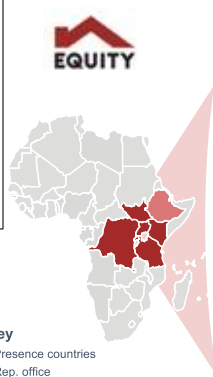
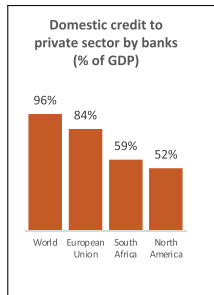
MEMBER

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Banking Group

High Growth Potential in the Markets our Banking Group serves



Equity is the 2nd strongest global banking brand and 1st in East Africa



- Group**
- Kenya
 - DRC
 - Uganda
 - Rwanda
 - Tanzania
 - South Sudan

Domestic credit to private sector by banks (% of GDP) ⁽¹⁾	Bank Account penetration ⁽²⁾	EGH Market position ⁽³⁾	Total Asset (KES Bn), growth, % ⁽⁴⁾	Number of customers ⁽⁴⁾	RoAE ⁽⁴⁾	Net profit per customer, KES ⁽⁴⁾
-	-	-	1,821.4 (26% growth)	19,496,226	22.3%	2,243
31.5%	86%	# 2	1,004.2 (12% growth)	12,906,101	26.5%	2,066
7.2%	29%	# 2	624.1 (41% growth)	2,054,360	21.1%	5,894
13.4%	60%	# 5	156.6 (40% growth)	2,105,855	4.6%	378
22.8%	56%	# 2	127.7 (93% growth)	1,620,327	39.1%	2,592
15.1%	53%	# 13	60.6 (33% growth)	619,234	7.8%	801
3.1%	-	# 1	22.4 (33% growth)	190,349	48.2%	9,428

Notes: (1) As at 31 Dec 2022, Dec 2021 (DRC only) – www.data.worldbank.org. (2) As at 31 Dec 2020 – www.statista.com. (3) Ranking based on publicly available information as of September 2023, November 2022 (South Sudan only). (4) As at 31 Dec 2023.

New Frontiers For Growth In The Banking Business

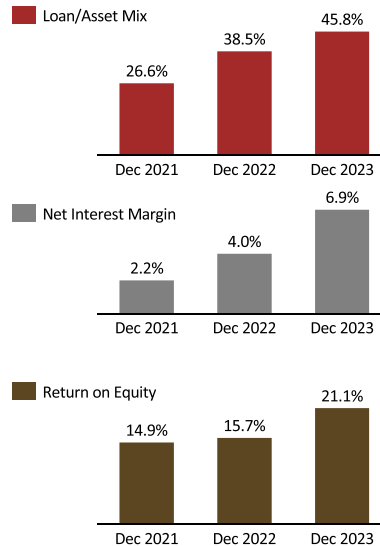
DRC a strong growth market

DRC is critical to the world

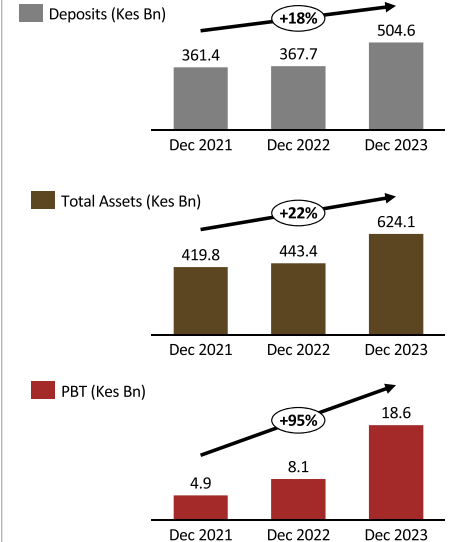
- DRC harbours minerals key to world economic growth
 - Coltan/tantalite (~60-80% of global reserves)
 - Cobalt (70% of global reserves)
 - Copper
 - Lithium
- DRC has a large young population, ~93 million, with 45% of the population in urban centres presenting consumption opportunities



Upside potential, high return profile, short payback period



Growing returns and contribution to the Group



New Frontiers For Growth In The Banking Business (continued)

Uganda and Tanzania

East African Crude Oil Pipeline Project(EACOP)

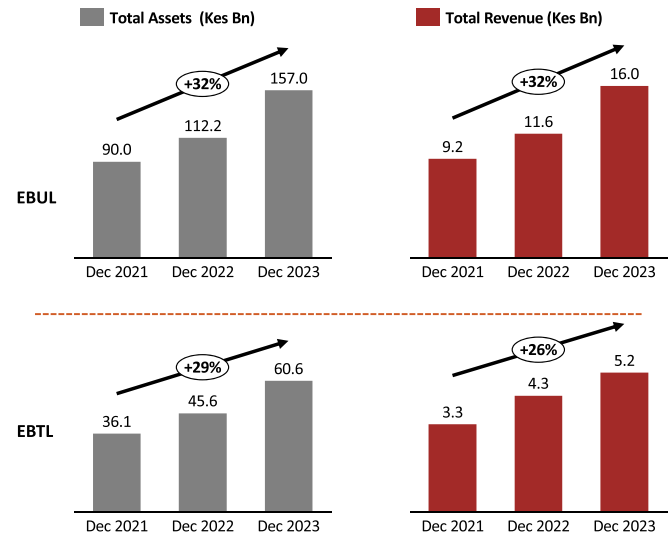


Uganda, Tanzania and large oil companies signed East African Crude Oil Pipeline project agreement (EACOP) on 11th April 2021 to construct US\$ 3.55 billion oil pipeline from Uganda to Tanga in Tanzania.

The agreement will see Tanzania earn US\$ 12.7 for each barrel transported via the pipeline.

The Government of Tanzania confirmed the discovery of natural gas reserves amounting to 57.25 trillion standard cubic feet (TCF) in March 2016. The extraction of the gas presents immense opportunities in the region with a proposed gas pipeline from Dar es Salaam Tanzania and Mombasa Kenya

EGH franchises well placed to participate macroeconomic growth



New Frontiers For Growth In The Banking Business (continued)

EBRL – High growth business in Rwanda + Cobeбанque acquisition

Cobeбанque: Acquired Business drivers

Staff	359
Branches	28
ATMs	36
Agents	636
Customers	139,787

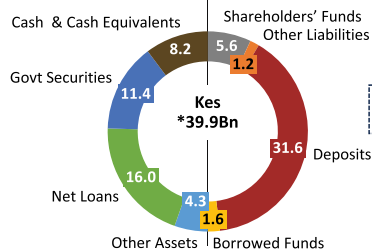
EBRL High return and efficiency business.

EGH on 1 December 2023 acquiring Cobeбанque (5th Position) to increase its Market share. The combined bank is the 2nd Largest in Rwanda.

EBRL Efficiency Ratios

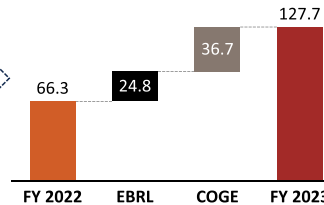
ROE	20.8%	36.0%	39.1%
CIR	42.3%	37.8%	38.1%
PBT growth	18.0%	103.6%	33.5%
	Dec 2021	Dec 2022	Dec 2023

COGEBANQUE Balance sheet before Acquisition (in Kes Bn)

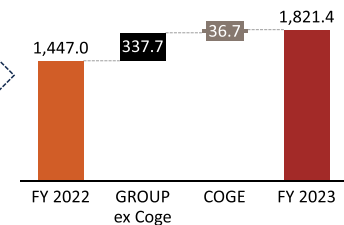


*Acquired total assets as at 1 December 2023

EBRL Consolidated Balance sheet FY 2023 (in Kes Bn)



EGHL Consolidated Balance sheet FY 2023 (in Kes Bn)

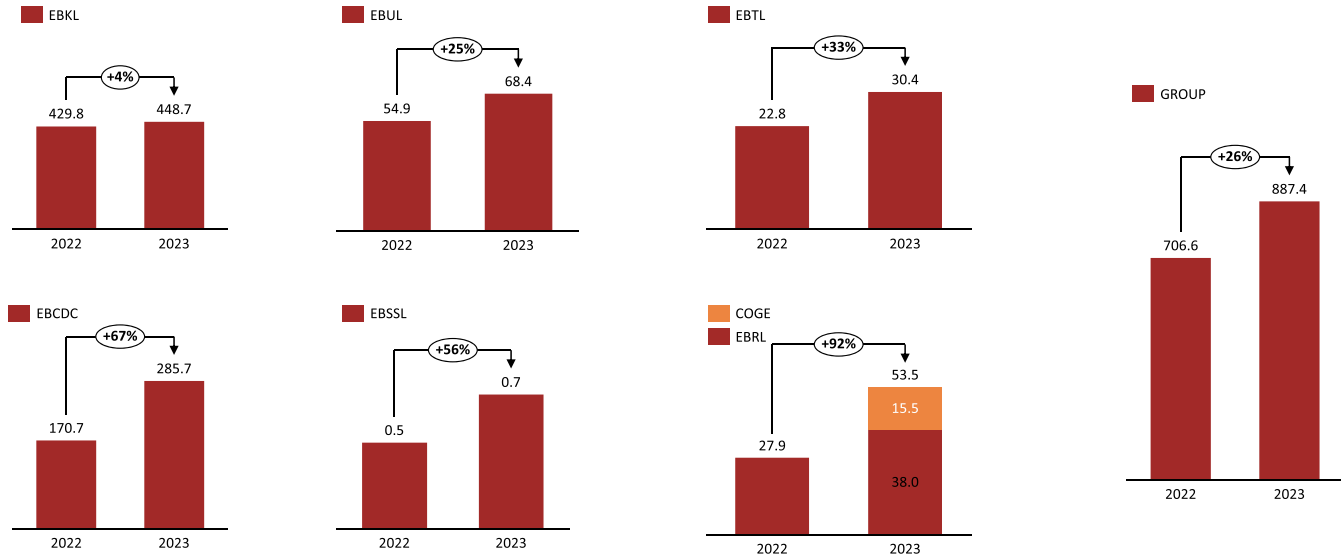


Banking Focus Areas: Balance Sheet Optimization and Efficiency

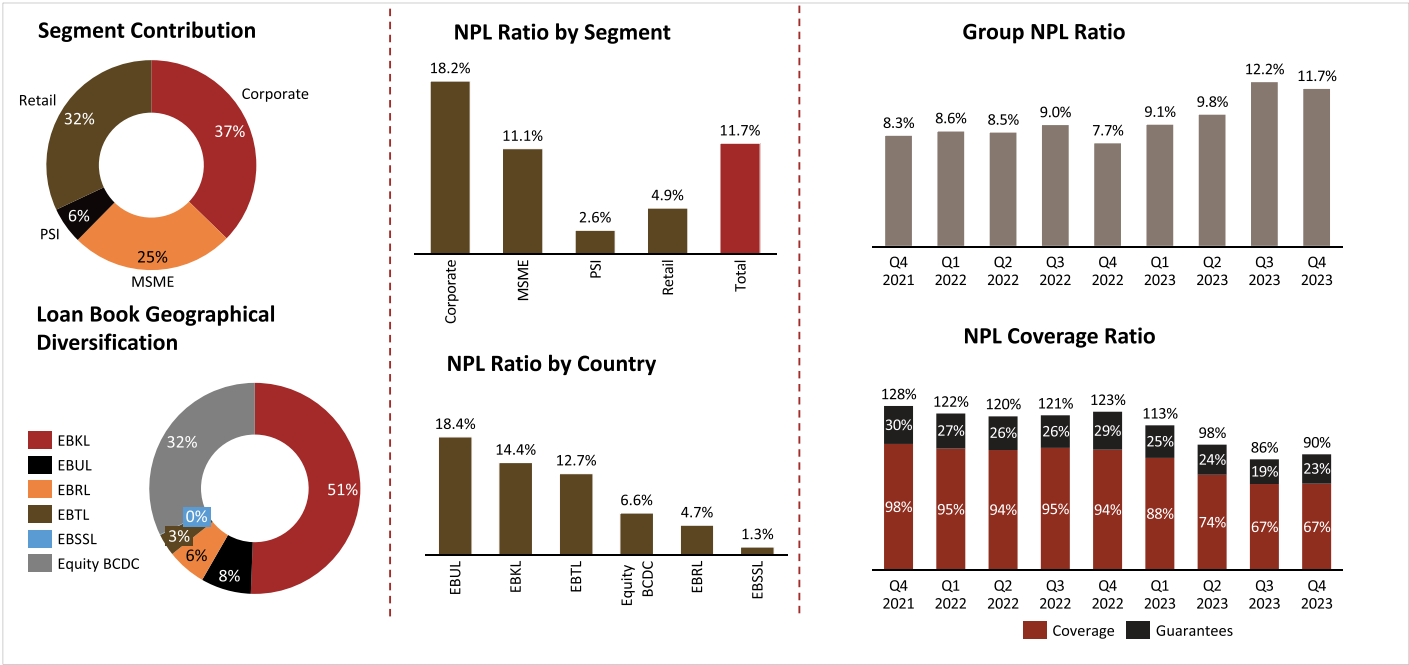
	Earning Asset Mix		NIM		RoAA		FY 22	FY 23
EBKL	89%	87%	↓	7.5%	7.4%	↓		
EBCDC	85%	88%	↑	4.0%	6.9%	↑		
EBUL	82%	80%	↓	9.1%	9.0%	↓		
EBRL	93%	92%	↓	8.5%	7.6%	↓		
EBTL	88%	88%	↔	5.7%	5.6%	↓		
EBSSL	89%	90%	↑	0.6%	1.1%	↑		
							14.5%	11.0%

Banking Focus Areas: Asset Quality, Distribution and Risk Mitigation - Net Loans Growth

Kes Bn

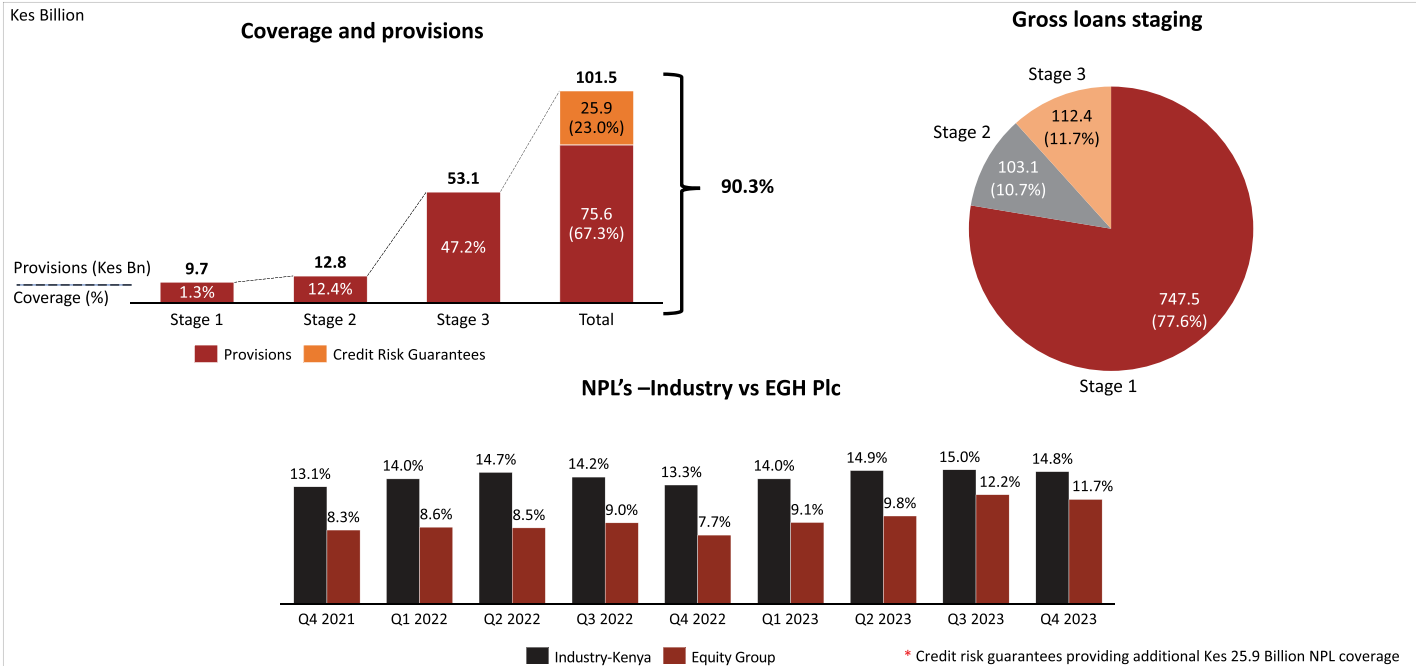


Banking Focus Areas: Asset Quality, Distribution and Risk Mitigation



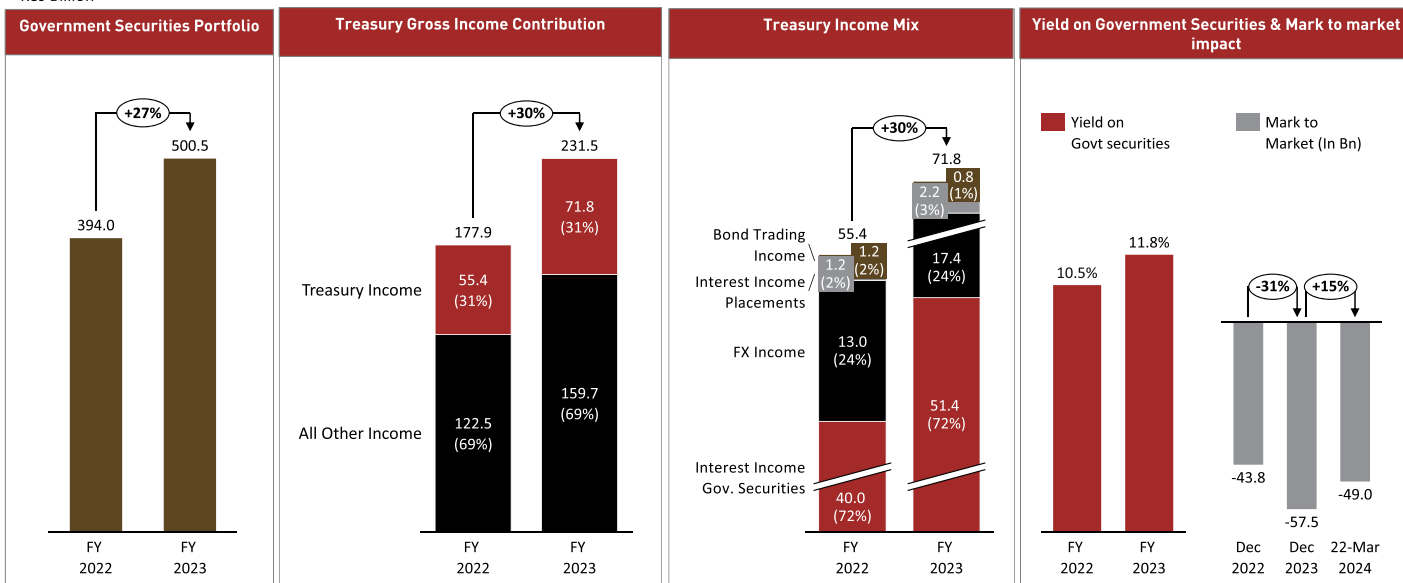
Banking Focus Areas: Asset Quality, Distribution and Risk Mitigation (continued)

Prudent approach to credit risk management



Banking Focus Areas: Non-Funded Income - Treasury Efficiency

Kes Billion

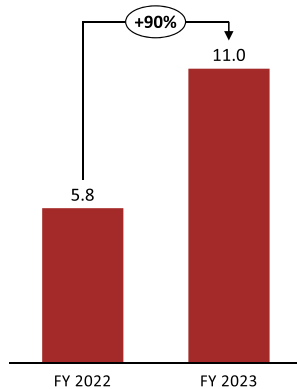


Note: Income calculation above is before funding costs

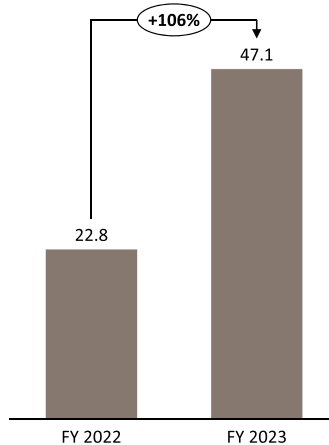
Focus Area: Non-Funded Income - Trade Finance Performance

Kes Billion

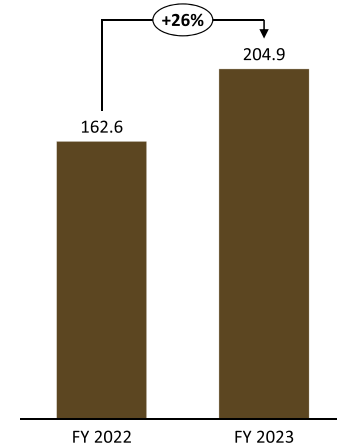
Gross trade finance revenue



Trade finance related lending



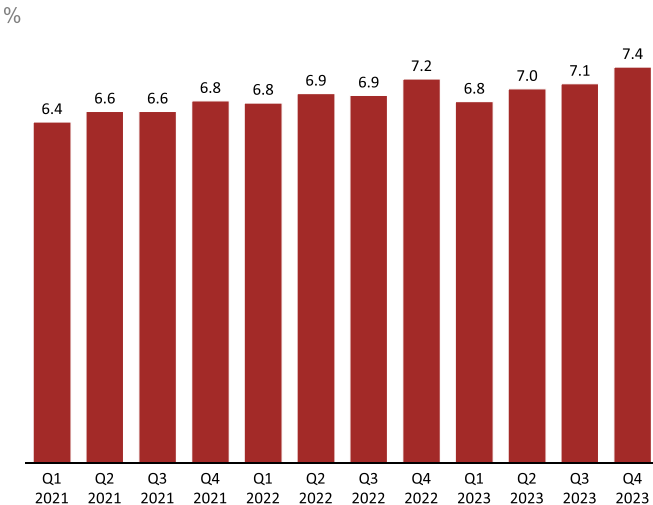
Trade finance guarantees & off-balance sheet Items



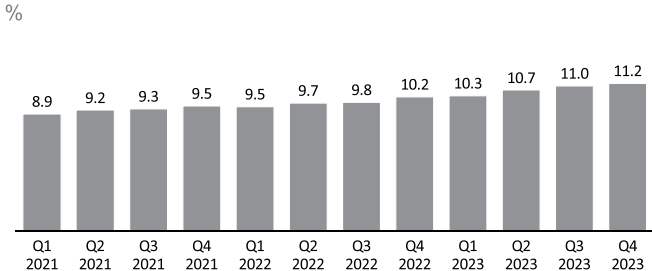
Banking Focus Areas: Profit and Loss Efficiency - Margins

Group

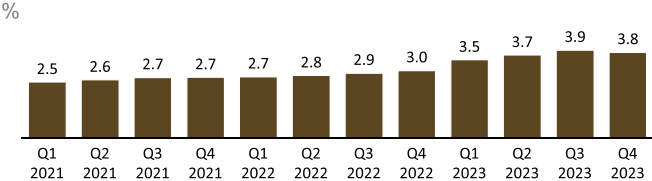
Net Interest Margin



Yield on Interest Earning Assets

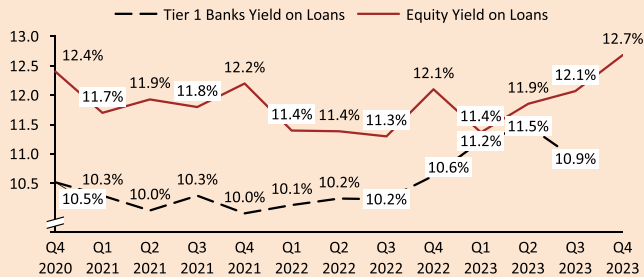


Cost of Funds

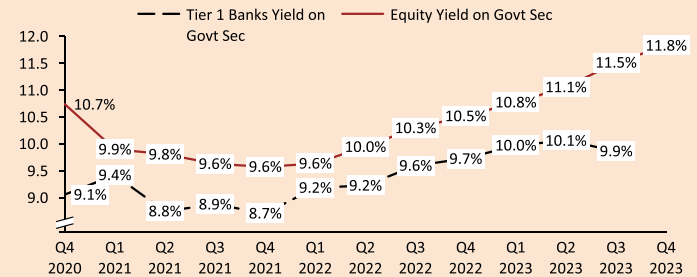


Banking Focus Areas: Profit and Loss Efficiency - Financial Intermediation

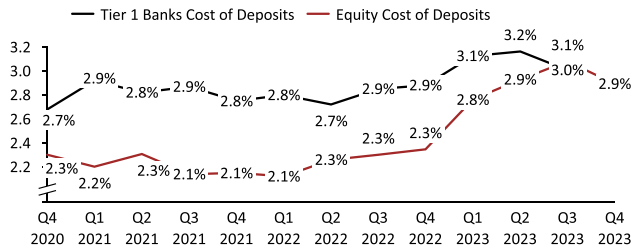
Yield on Loans



Yield on Government Securities

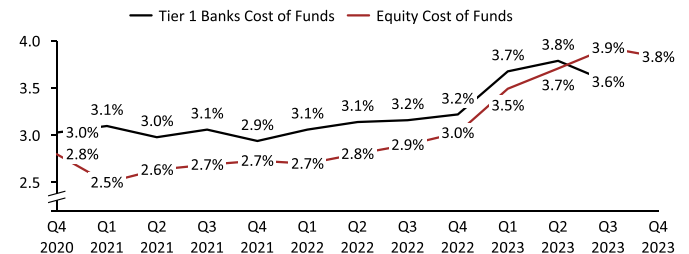


Cost of Deposits

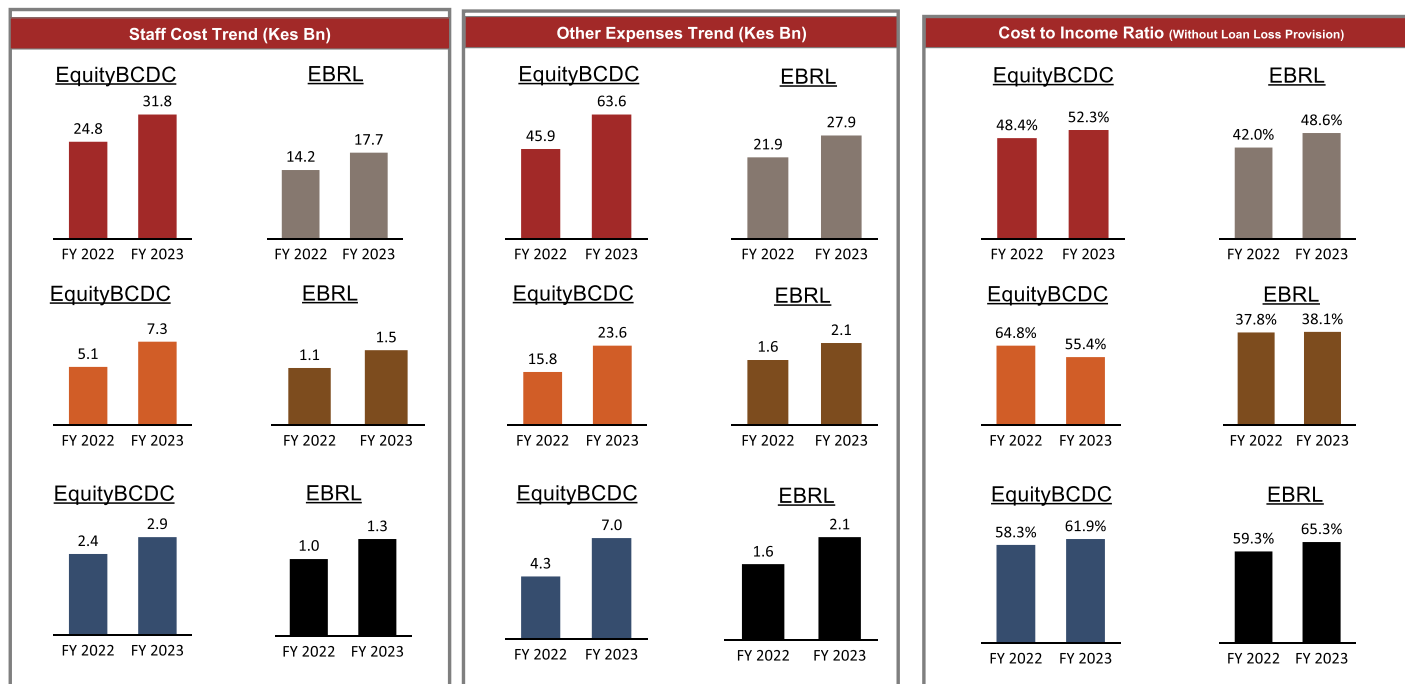


Tier 1 Banks excludes Equity Group. Industry data available up to Q3 2023

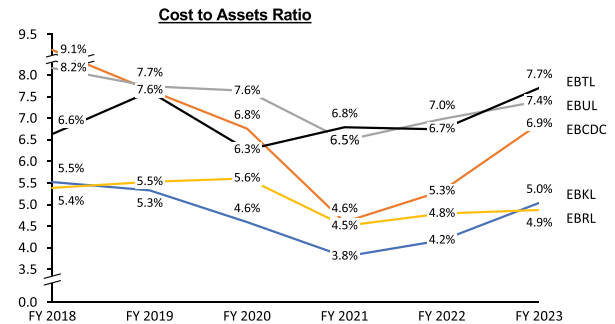
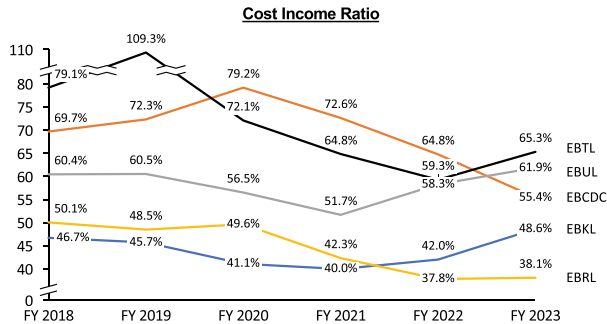
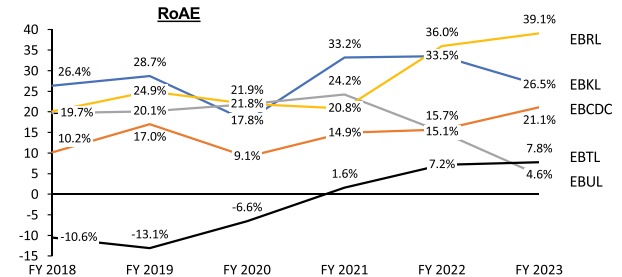
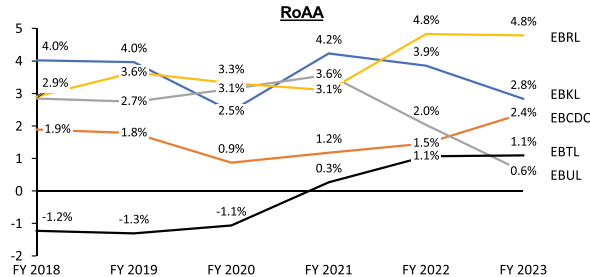
Cost of Funds



Banking Focus Areas: Profit & Loss Efficiency - Cost Optimization



Banking Focus Areas: Efficiency and Return Profile



MEMBER

MEMBER

MEMBER

MEMBER

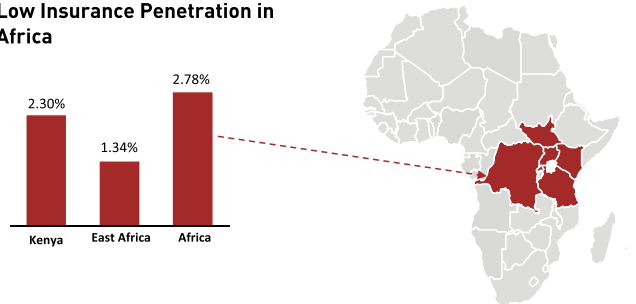


Insurance Group

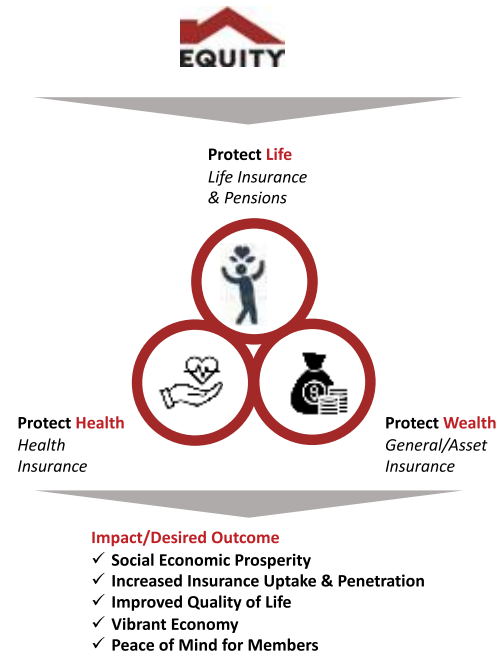
Equity Insurance Group : The Opportunity

Opportunity in Africa & the Equity Strategic Intent

Low Insurance Penetration in Africa



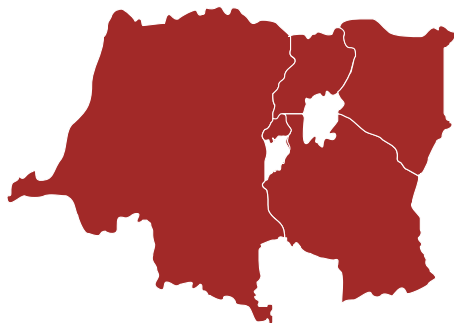
- Low average insurance penetration rates (Africa 2.78%, East Africa 1.34%)
- +150 insurance companies in the market with limited success
- Africa is <3% of global insured losses compared with 18% population representation. GWP \$70Bn in Africa in 2021 (SA, 70% and largely General)
- Consumers in Africa are an event away from financial distress
- Insurance has a social and economic role to play in society.
- African communities largely self-insure through traditional means and direct cash payments
- Opportunity lies in resolving challenges facing the industry in Africa such as:
 - Access
 - Relevance or Suitability
 - Affordability
 - Reliability



Equity Insurance Group: The Opportunity (continued)

Opportunity in Africa & the Equity Strategic Intent

East Africa Market & Industry Statistics



2022 GDP (Billion USD)	116.64	59.25	47.00	74.54	11.04
Saving Rate	9.8%	**	11.5%	11.4%	14.3%
Adequacy Level	Low	Low	Low	Low	Low
Life Expectancy	62.13	62.87	59.18	59.18	64.52
Working population	27.8Mn	48.9Mn	19.4Mn	27.9Mn	7.9Mn
% of workforce to population	63%	52%	53%	53%	68%
Insurance Penetration	2.3%	0.4%	0.8%	1.68%	1.6%

The average Insurance penetration rate across the countries that Equity Operates in stands at only 1.34%

** Data not readily available

Market Positioning | Strong Start

Equity Insurance | Life (Long Term) Insurance

Kenya's Insurance Industry

Kenyan Industry Premiums

- **Total industry premiums:** Q3 2023 – Kes 270Bn; FY2022 - Kes 302Bn
- **Life:** Q3 2023 – Kes 116Bn (43%); FY2022 - Kes 140Bn (46%)
- **General:** Q3 2023 – Kes 154Bn (57%); FY2022 - Kes 162Bn (54%)

Assets Under Management, 2022: Kes 514Bn

Fastest growing life assurance solutions

- Deposit Administration (and Pensions)
- Individual Life Assurance
- Group Credit Life

Majority of Insurers profits driven by investment income/investments as opposed to underwriting profits

Equity's Market Positioning

- Equity Group's 1st Insurance subsidiary was operationalized in March 2022 to undertake life insurance business - Equity Life Assurance (Kenya) [ELAK]
- Been in operation for 21 months as at Q4 2023

#13 in GWP

2% Market Share

#6 in Group Life & Credit

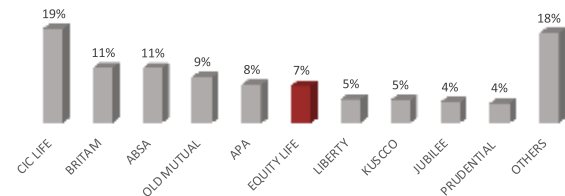
7% Market share

#4 in Profitability

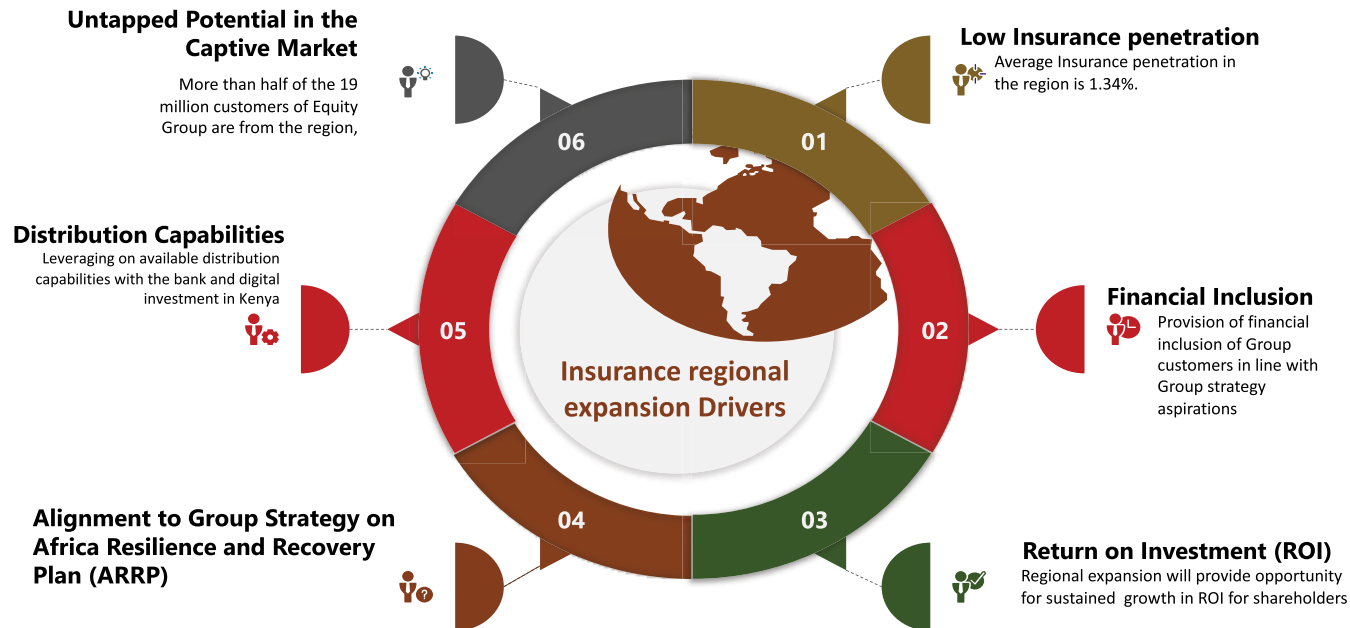
Life Industry Market Share Life | Q3,23



Group Life & Credit - Q3 2023



Equity Insurance Holdings | Growth & Expansion



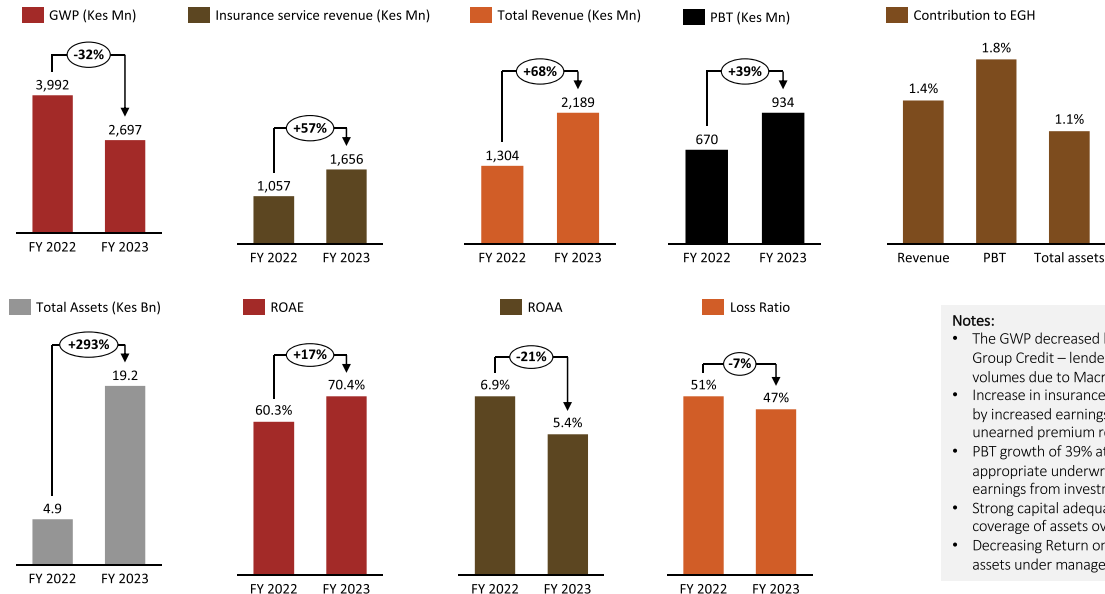
Equity Insurance Group

Africa Recovery and Resilience Plan | Strategic Alignment

						
	Customer	Businesses & Jobs	Food & Agriculture	Trade Finance	Cost-to-Income	Non Funded Income (NFI)
GROUP	100m customers	5m businesses, 25m direct jobs	30% Food & Agri, 15% Manufacturing, 65% MSMEs	#1 Trade Finance Bank	<40% Cost to Income Ratio	>50% NFI
INSURANCE	1.4m (2022) 2.2m (2023) 3.5m (2024)	5% cross-sell for Life insurance for business owners & employees + business insurance	2023 target for GI 20% of MSMEs to consume at least 2 insurance products	Develop Innovative trade finance insurance solutions	Targeted 50% Loss ratio across the book	Insurance revenue will entirely boost Group NFI (Annual Flows of KSh 10 Bn)

Equity Insurance | Life (Long Term) Insurance

Performance & Growth | Demonstrated Distribution Capability

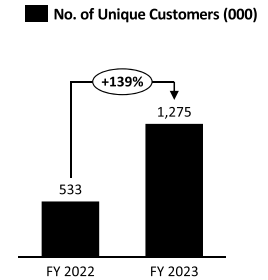
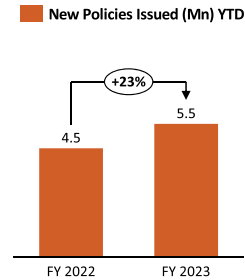
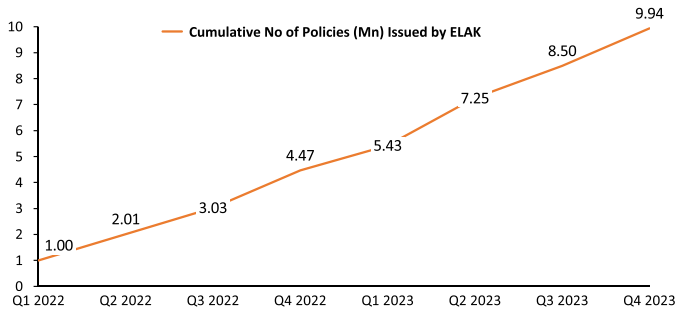


Notes:

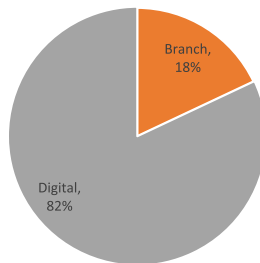
- The GWP decreased by 32% driven by reduced premiums on Group Credit – lenders focusing on quality instead of volumes due to Macros
- Increase in insurance service revenue, Total Income driven by increased earnings from current business and previously unearned premium reserves
- PBT growth of 39% attributed to increased earned premiums, appropriate underwriting and claims reserving & increased earnings from investments
- Strong capital adequacy position of 207% indicative of coverage of assets over the liabilities
- Decreasing Return on Assets due to growth in asset mainly assets under management.

Equity Insurance | Life (Long Term) Insurance

Performance & Growth | Demonstrated Distribution Capability



Distribution Channels



Notes:

- Total Cumulative Policies issued to date 9.9 million with an average number of policies issued per month over the last year of 455,915
- 1,274,980 unique customers consuming various insurance products
- Customers consuming 1-8 insurance products in a given year
- Digital Native Insurer with +80% of policies issued digitally
- Branch a critical part of the distribution strategy particularly for non-SME and Non-Consumer Segments

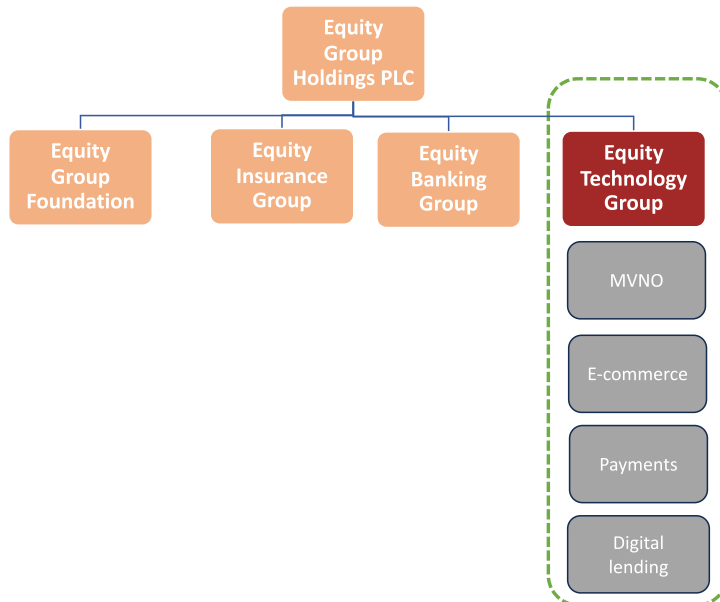


Technology Group

The Future of Technology Group

Deliver and operate a reliable and scalable mobile money platform designed to offer daily relevant products & services.

Coordinated, Agile and Extensive Tech Group Capabilities



STRATEGY AND BUSINESS MODEL

Purpose: Transforming lives, giving dignity and expanding opportunities for wealth creation

Vision: To be the champion of the socio-economic prosperity of the people of Africa

AFRICA RECOVERY AND RESILIENCE PLAN

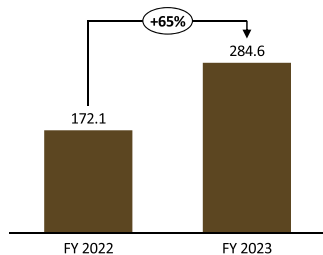


MVNO, Payments, E-commerce and Digital Lending

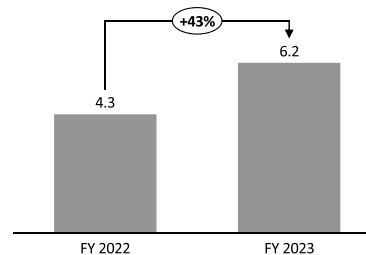
The Technology Group enabling the banking business

1. Technology enabled lending

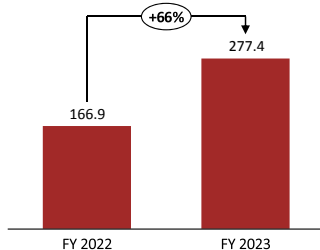
Group Disbursements Value in Kes Bn (YoY)



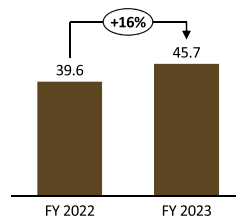
Group Disbursements Count in Millions (YoY)



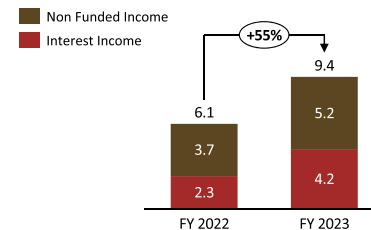
Group Repayments (Kes Billion)



Group Average Ticket size in Kes '000' (YoY)

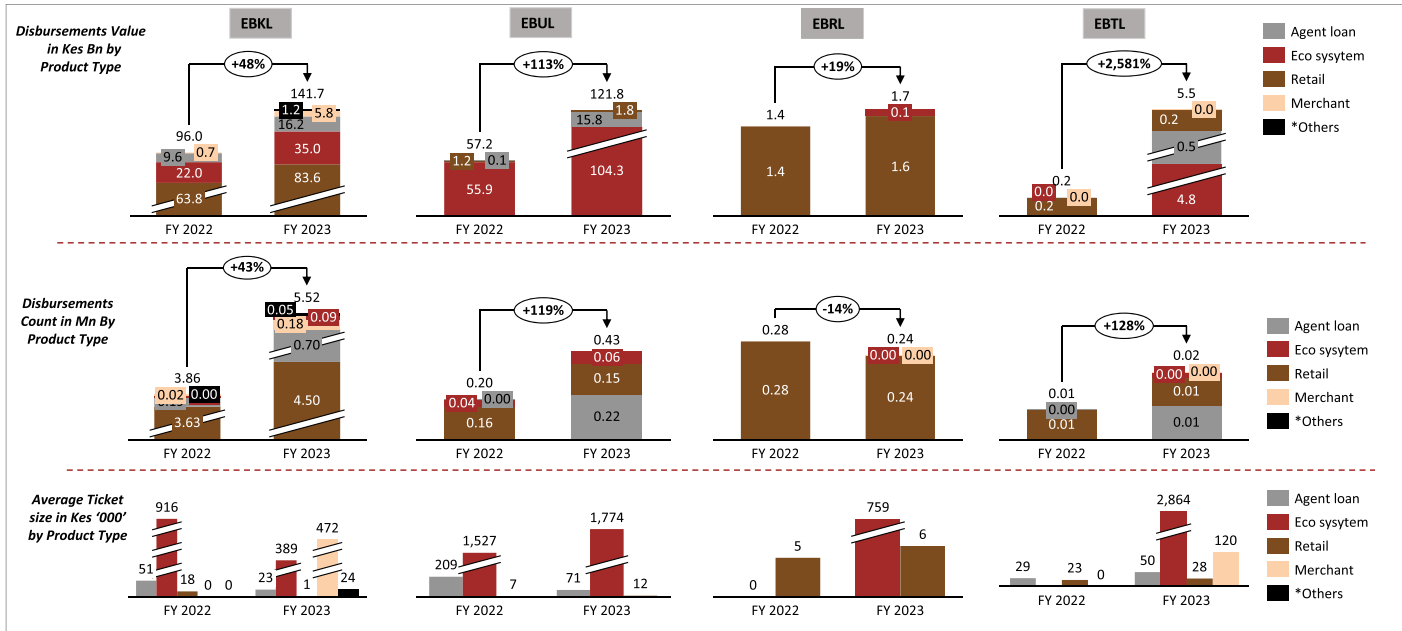


Group Revenues in Kes Bn (YoY)



The Technology Group enabling the banking business (continued)

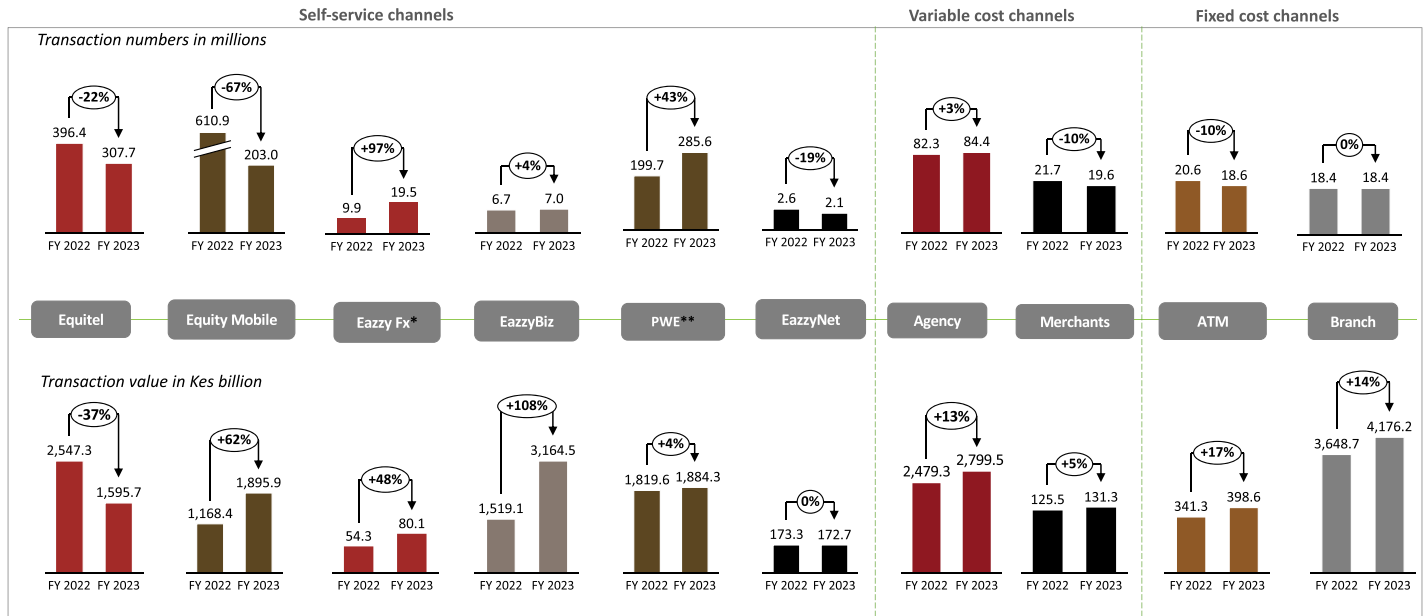
1. Technology enabled lending (Continued)



*Others include Digital overdraft, Telco and Tea loans

The Technology Group enabling the banking business

2. Migrating from Fixed and variable cost channels to self-service channels



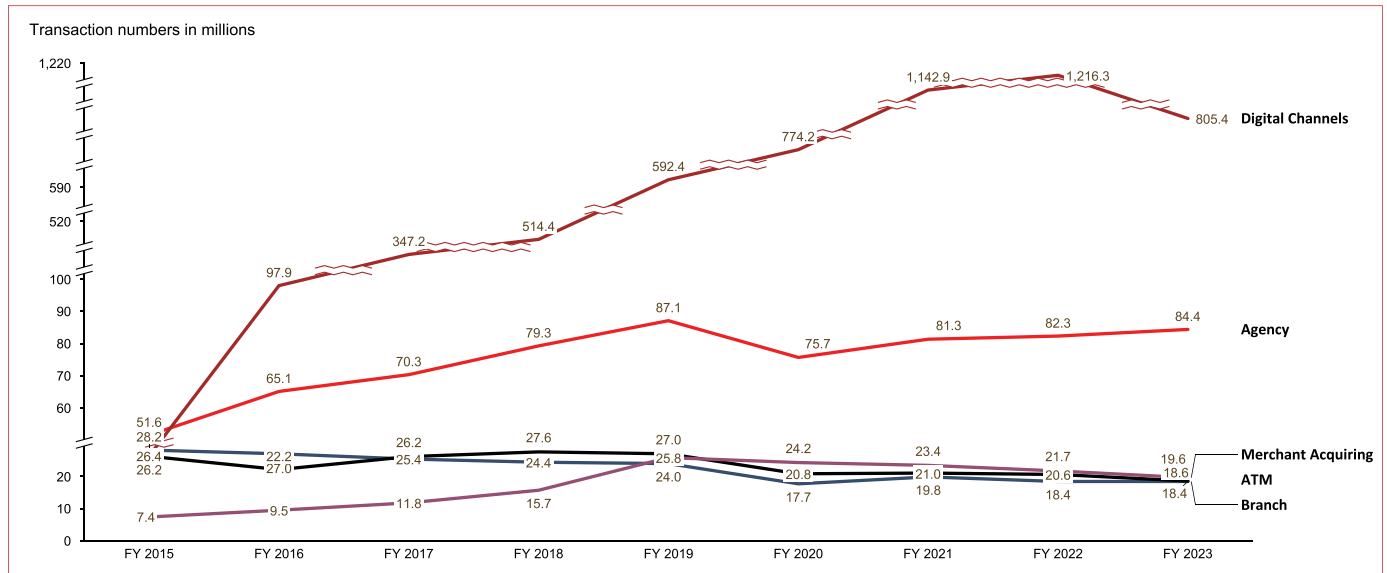
*Eazzy Fx transaction numbers in thousands

**PWE includes Billers

The Technology Group enabling the banking business

2. Migrating from Fixed and variable cost channels to self-service channels (continued)

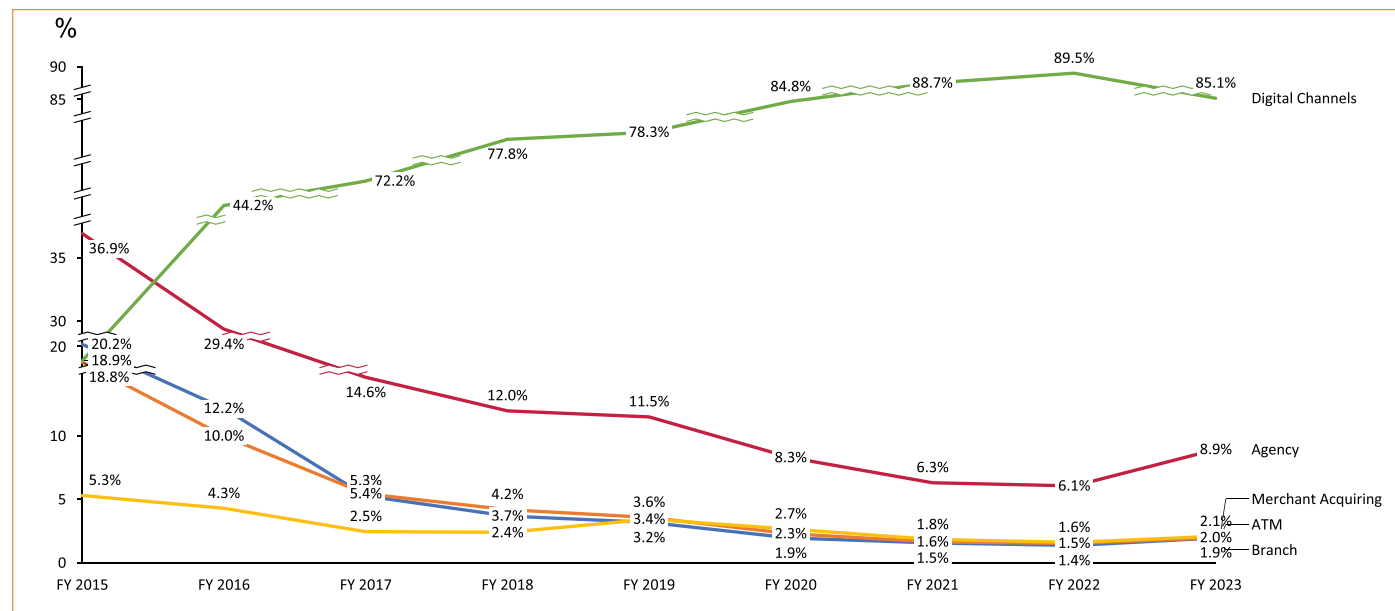
Digital business: Enabling transition from fixed cost to 3rd party variable cost channels and self-service platforms



The Technology Group enabling the banking business

2. Migrating from Fixed and variable cost channels to self-service channels

98% of our Transactions outside the branch

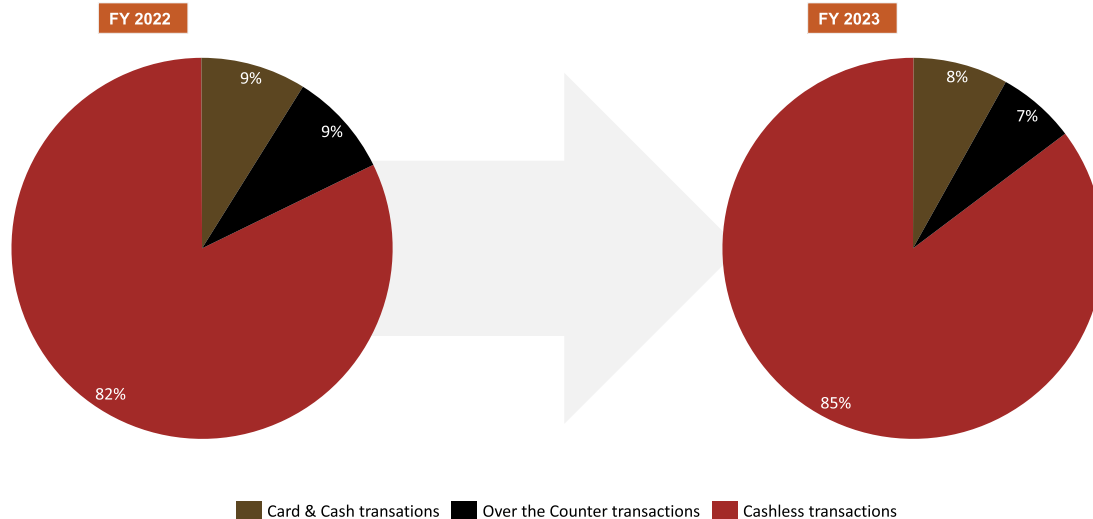


The Technology Group enabling the banking business

Business Transformation- Fintech Capabilities and Lifestyle Support

Payments Processing Capabilities – Promoting a Cashless Economy

85% of our customers using cashless payment capabilities rather than transacting in cash





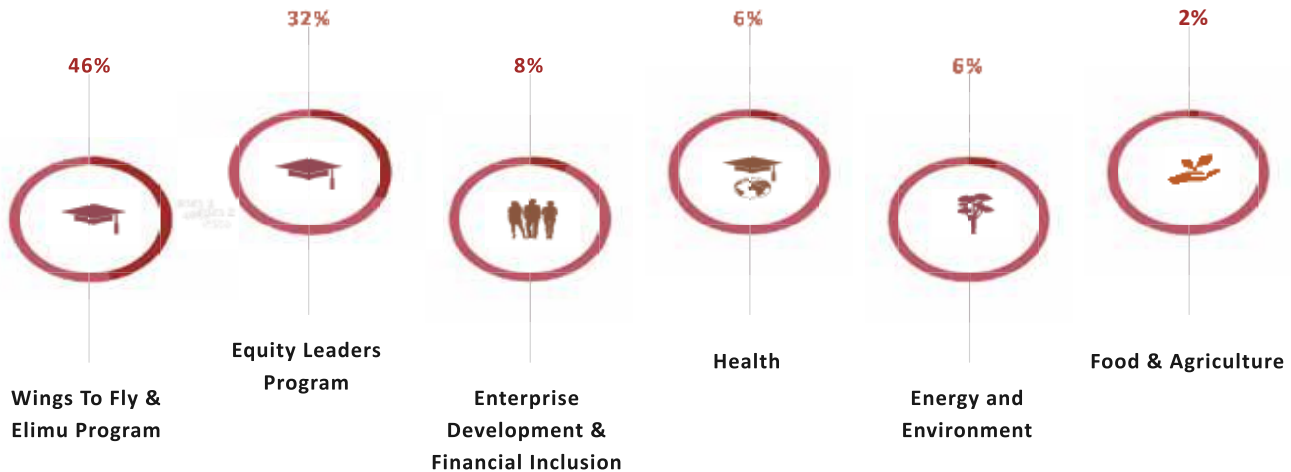
Equity Group Foundation

Impact Investment and Sustainability

Impact & Social Investment Programs

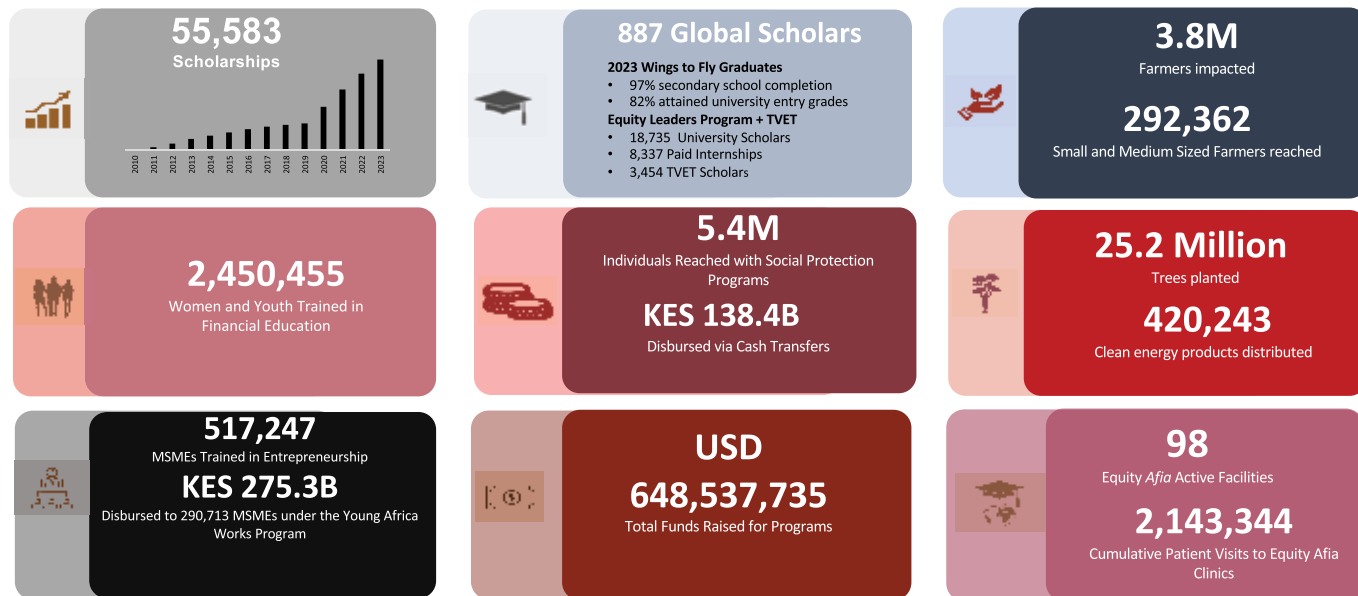
USD 649 M in Social Investment Programs

% of Social investment



Impact Investment and Sustainability

Shared Prosperity Business Model and its Social Impact



Strategic Partnerships Validating the Business Model



MEMBER

MEMBER

MEMBER

MEMBER

MEMBER

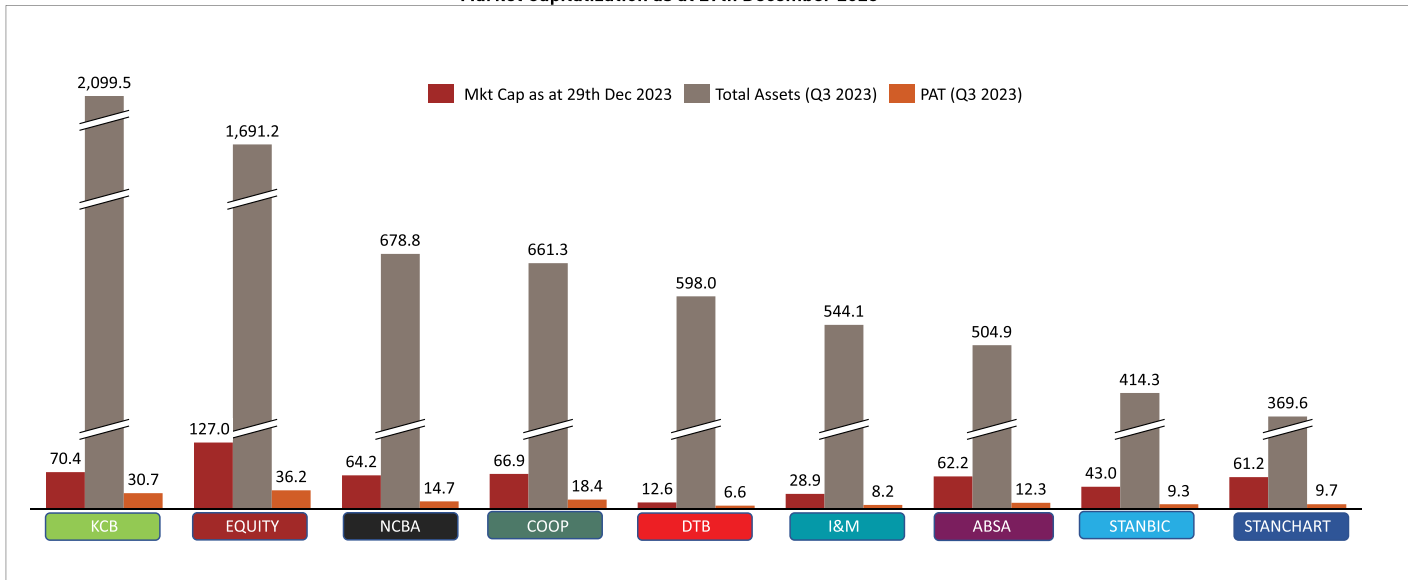
MEMBER

Overall Group Performance

Market Validation

KES Billion

Market Capitalization as at 29th December 2023



Market Capitalization Source: Business Daily January 02, 2024

Group Performance highlights

Customer Deposits (Kes)

1.4Tn



29%

Net Loans (Kes)

887.4Bn



26%

Net Interest Margin

7.4%



0.2%

Total Income (Kes)

180.1Bn



25%

Profit After Tax (Kes)

43.7Bn



5%

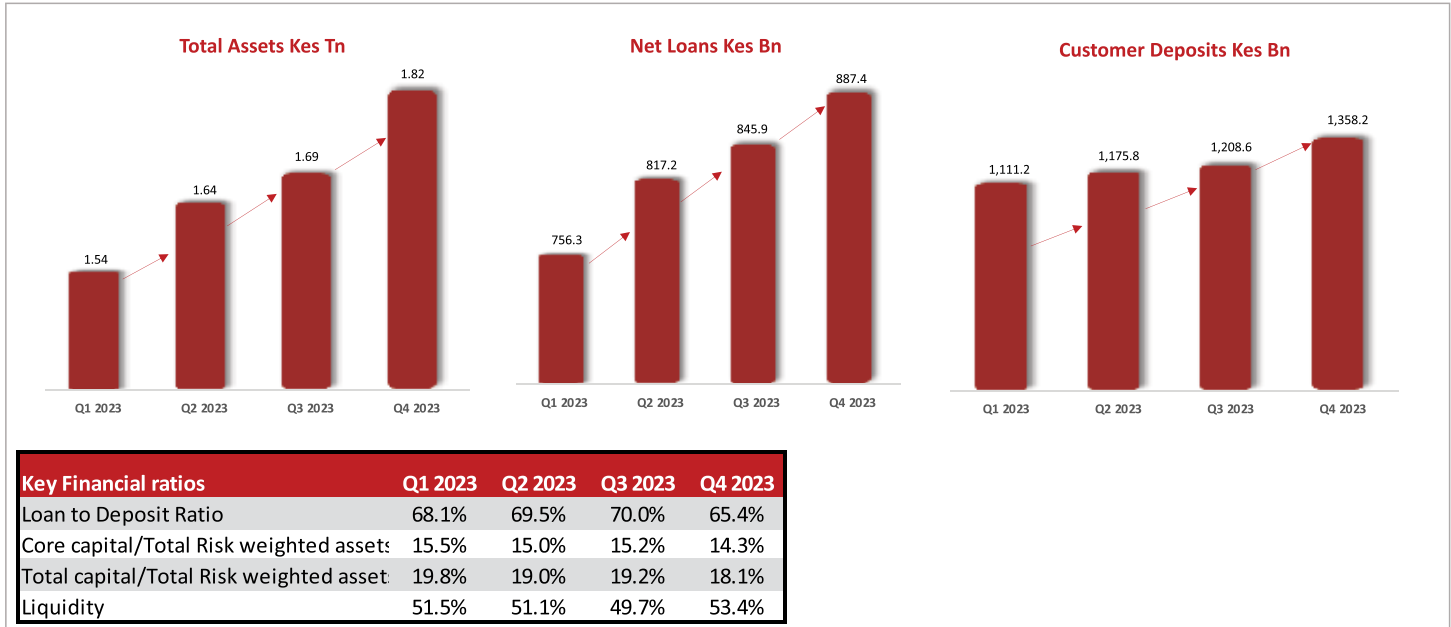
Return On Equity

22.3%



5%

Balance Sheet QoQ Performance



Balance Sheet

KES Billion

Assets	FY 2022	FY 2023	GROWTH
Cash & Cash Equivalents	232.4	290.1	25%
Government Securities	394.0	500.5	27%
Net Loans	706.6	887.4	26%
Other Assets	114.0	143.4	26%
Total Assets	1,447.0	1,821.4	26%
Liabilities & Capital			
Deposits	1,052.2	1,358.2	29%
Borrowed Funds	157.5	150.6	-4%
Other Liabilities	55.1	94.5	71%
Shareholders' Funds	182.2	218.1	20%
Total Liabilities & Capital	1,447.0	1,821.4	26%

Income Statement

KES Billion

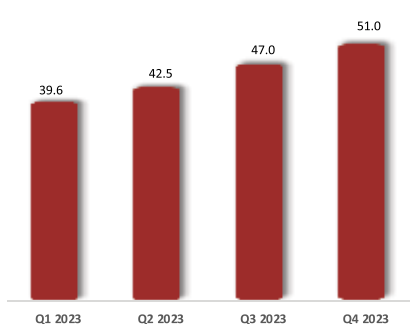
	FY 2022	FY 2023	GROWTH
Interest Income	119.6	155.6	30%
Interest Expense	33.6	51.4	53%
Net Interest Income	86.0	104.2	21%
Non-Funded Income	58.3	75.9	30%
Total Income	144.3	180.1	25%
Loan Loss Provision	13.7	32.8	139%
Staff Costs	24.8	31.8	28%
Other Operating Expenses	46.0	63.6	39%
Total Costs	84.5	128.2	52%
PBT	59.8	51.9	-13%
Tax	13.7	8.2	-41%
PAT	46.1	43.7	-5%
Earnings per share (Kes)	11.9	11.1	-6%
Dividends per share (Kes)	4.0	4.0	0%
Dividend payout (Kes Billion)	15.1	15.1	0%
Dividend payout Ratio	34%	36%	7%
Dividend Yield	8.8%	11.9%	34%
Dividend Yield on Par Value	800%	800%	0%

*Loan loss provision has been presented net of recoveries. In the CBK publication Loan Loss Provision is presented as a gross amount. The gross provisions and recoveries are as follows;

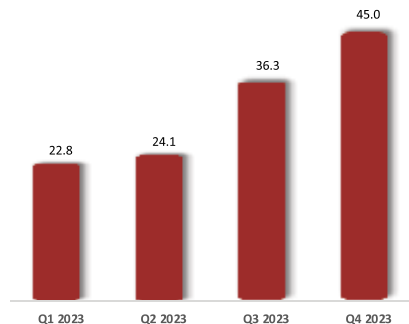
KES Bn	FY 2022	FY 2023
Gross loan loss provision	15.4	35.3
Loan recoveries	(1.7)	(2.5)
Net loan loss provision	13.7	32.8

P&L QoQ Performance

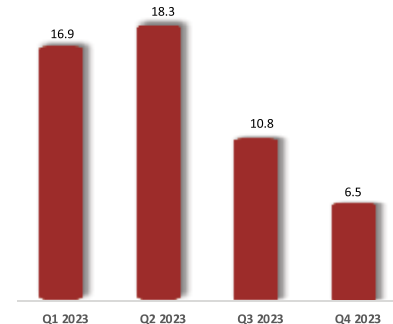
Total Income Kes Bn



Operating Expenses Kes Bn



Profit Before Tax Kes Bn

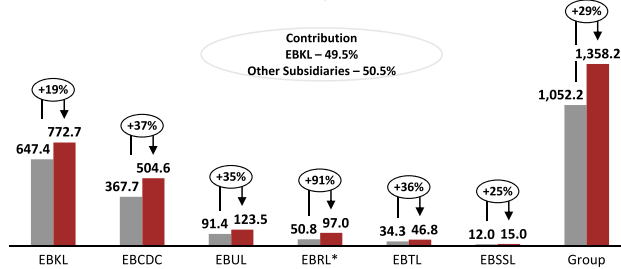


Key Financial ratios	Q1 2023	Q2 2023	Q3 2023	Q4 2023
Cost to Income ratio	49.2%	49.0%	50.2%	52.3%
NIM	6.8%	7.0%	7.1%	7.4%
ROAE	27.5%	27.7%	25.1%	22.3%
ROAA	3.5%	3.5%	3.1%	2.7%

Subsidiaries Performance and Contribution

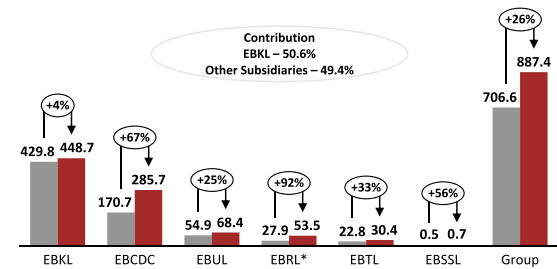
Kes Billion

Deposits

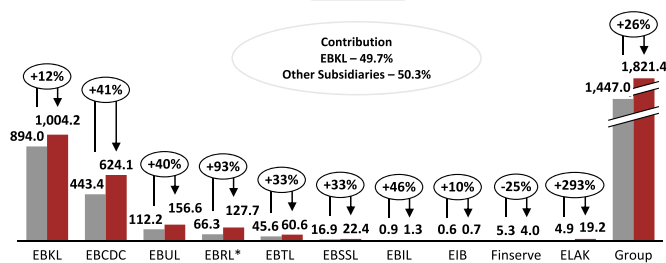


FY 2022 FY 2023

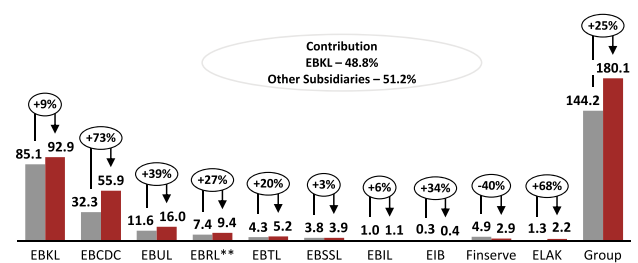
Loans



Total Assets



Revenue



EBRL* includes Cogeбанque

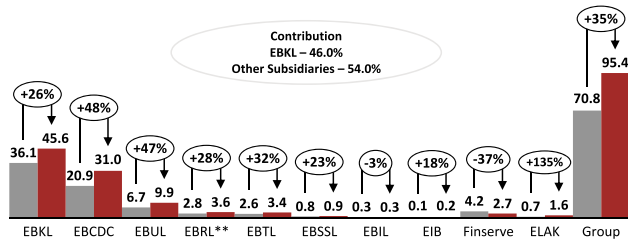
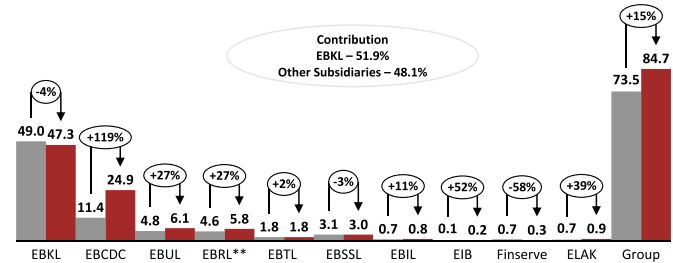
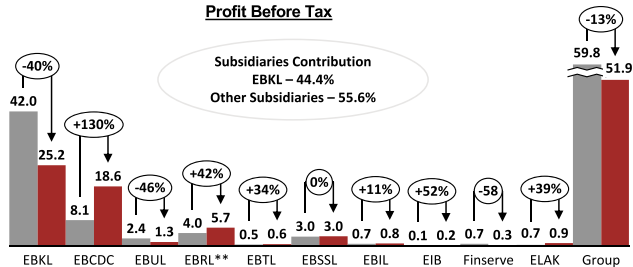
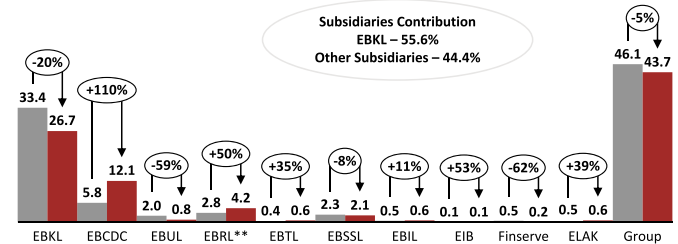
EBRL** includes Cogeбанque's one month (Dec) performance

Subsidiaries Performance & Contribution (Continued)

Kes Billion

Costs Before Provisions

■ FY 2022 ■ FY 2023

PBT Before ProvisionsProfit Before TaxProfit After Tax

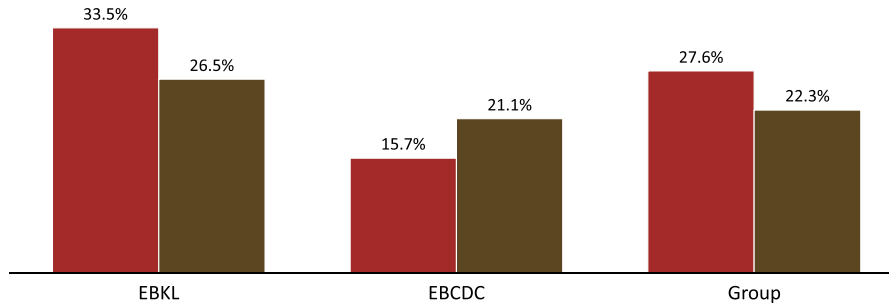
EBRL* includes Cogeбанque

EBRL** includes Cogeбанque's one month (Dec) performance

RoAE and RoAA Trend

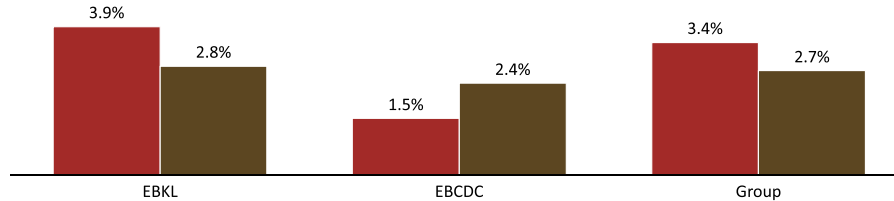
RoAE

■ Dec 2022
■ Dec 2023



RoAA

■ Dec 2022
■ Dec 2023



Financial Ratios

KES Billion	EBKL FY 2022	EBKL FY 2023	EBCDC FY 2022	EBCDC FY 2023	Group FY 2022	Group FY 2023
Yield on Loans	11.6%	13.2%	10.6%	10.0%	12.1%	12.7%
Yield on Government Securities	10.5%	11.8%	10.2%	14.6%	10.5%	11.8%
Yield on Interest Earning Assets	10.7%	12.3%	5.7%	8.4%	10.2%	11.2%
Cost of Deposits	2.6%	3.8%	1.3%	1.5%	2.3%	2.9%
Cost of Funds	3.2%	4.9%	1.7%	1.5%	3.0%	3.8%
Net Interest Margin	7.5%	7.4%	4.0%	6.9%	7.2%	7.4%
Cost to Income Ratio with provisions	51.1%	73.1%	74.8%	66.6%	59.0%	71.3%
Cost to Income Ratio without provisions	42.0%	48.6%	64.8%	55.4%	48.4%	52.3%
RoAE	33.5%	26.5%	15.7%	21.1%	27.6%	22.3%
RoAA	3.9%	2.8%	1.5%	2.4%	3.4%	2.7%
Asset Quality						
PAR	7.4%	14.4%	5.2%	6.6%	7.7%	11.7%
NPL Coverage	109.8%	64.9%	82.9%	73.1%	93.7%	67.3%
Cost of Risk	1.9%	5.1%	2.4%	2.8%	2.4%	4.4%
Leverage						
Loan/Deposit Ratio	66.4%	58.1%	46.4%	56.6%	67.2%	65.4%
Capital Adequacy Ratios						
Core Capital to Risk Weighted Assets	15.8%	14.2%	11.8%	11.0%	15.6%	14.3%
Total Capital to Risk Weighted Assets	20.6%	18.8%	13.4%	12.5%	20.2%	18.1%
Liquidity						
Liquidity ratio	67.5%	67.4%	148.8%	132.5%	52.1%	53.4%

2023 Guidance Vs Actual - Group

KES Billion	Revised 2023 Guidance	FY 2023 Actual	2024 Guidance
Loan Growth	25% - 30%	26%	15% - 20%
Deposit Growth	20% - 25%	29%	15% - 20%
Net Interest Margin	7.0% - 7.5%	7.4%	7.2% - 7.6%
Non-Funded Income Mix	42% - 45%	42.1%	40% - 43%
Cost to Income Ratio	47% - 50%	52.3%	48% - 50%
Return on Equity	22% - 26%	22.3%	25% - 30%
Return on Assets	2.7% - 3.2%	2.7%	3.2% - 3.7%
Cost of Risk	3.0% - 3.5%	4.4%	2.0% - 2.5%
NPL	11% - 13%	11.7%	9% - 11%
Subsidiaries Contribution (Assets)	45% - 50%	50%	50% - 55%
Subsidiaries Contribution (PBT)	45% - 50%	56%	45% - 50%

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Appendices

Global Ratings and Accolades



Equity Bank Credit Rating

- National Rating: B3
- Global Rating: Aaa.ke/KE-1
- Rating Outlook: Negative Same as the sovereign rating



World's strongest banking brands 2023

- Position 4 – in the World
- Brand Strength Rating (BSR) of AAA+
- World's TOP 500 most valuable banking brands 2023
- Position 291 – in the world
- Position 3 – in Africa



- Position 22nd in Africa;
- Position 761 largest bank globally,
- Position 149th in soundness (Capital Assets to Assets ratio),
- Position 71st profits on Capital
- Position 39th on Return on Assets



African Business Leadership Awards

- Lifetime Achievement Award 2023 - Dr. James Mwangi
- African CEO of the Year 2020 - Dr. James Mwangi



Equity Bank Credit Rating

- Long Term Rating: AA-
- Short Term Rating: A1+
- Rating Outlook: Stable



- Dr. James Mwangi recognized among 50 Most Reputable Bank CEOs in Africa



2020 Oslo Business for Peace Award
Dr. James Mwangi.



- Position 7 overall
- Position 5 on soundness
- Position 9 on growth performance
- Position 8 on return on risk
- Position 6 on leverage category
- Position 6 on profitability



- 2023 SME Financier of the Year – Africa - Platinum
- 2023 Product Innovation of the Year - Platinum
- 2023 Women Financier of the Year – Honorable mention
- 2022 Best Financier for Women Entrepreneurs - Platinum
- 2022 SME Financier of the Year- Africa - Silver
- 2022 Product Innovation of the Year - Honorable Mention



- Best Trade Finance Bank in Kenya 2023

Global Ratings and Accolades (continued)



- Best Bank in Kenya 2023
- Best Bank in DRC 2023
- Best Bank for SME Banking 2023
- Best Bank for Digital Solutions 2023
- Best Bank for CSR in Kenya 2023
- Best Bank for Corporate Responsibility in Africa 2022 & 2023
- Africa best bank for SMEs 2021
- Excellence in Leadership in Africa 2020



- Best Regional Bank - East Africa - Equity Bank 2021
- Socially Responsible Bank in Africa, 2020
- African Bank of the Year, 2018
- African Banker of the Year, 2018 (Dr. James Mwangi)
- Best Retail Bank in Africa, 2017



Dr. James Mwangi,
named to the 3rd Annual
2019 Bloomberg 50 list



- Bank of the Year - DRC 2020
- Bank of the Year - Rwanda 2020 & 2021
- Bank of the Year - South Sudan 2019, 2020 & 2021
- Bank of the Year - Uganda 2019 & 2021
- Bank of the Year - Kenya 2019



- Visa Top Acquiring Award 2021
- Visa E-Commerce (Acquiring) Award 2021



Finserve named Best in Banking/
Financial and Insurance Services



- Best Bank for MSME Financing - Position 1
- Most Innovative Bank - Position 1
- Overall Winner - Position 2
- Best Client Case Study- Commercial - Position 2
- Best Bank Case Study- Bank Operations - Position 3
- Best Client Case Study - Promoting PWD Accessibility - Position 3



- Mary Wamae - Winner Women on Board Awards 2021
- Equity Group Foundation - 2nd runners up Women on Board Awards Organization of the year

2023 National Banking Awards and Accolades



**BANKING
AWARDS
2023**

Brand	1. Best Overall Bank - 12 years running 2. Best Bank in Tier 1- 9 years running 3. Most Customer-Centric Bank 4. Best Bank in Sustainable CSR - 1st Runners Up 5. Best Bank in ESG Factors
Franchise Segment	1. Best Bank in Retail Banking 2. Best Bank in Mobile Banking 3. Best Bank in SME Banking 4. Best Bank in Agency Banking 5. Best Commercial Bank in Microfinance 6. Best Bank in Corporate Banking - 1st Runners Up
Product	1. Best Bank in Trade Finance 2. Best Bank in Agriculture and Livestock Financing 3. Special Judges Award for Product Innovation (Clean Energy Access at Institutional and Household Level) 4. Best Bank in Mortgage Finance - 2nd Runners Up 5. Best Bank in Internet Banking 6. Best Bank in Asset Finance - 1st Runners Up 7. Best Bank in Product Marketing 8. Best Bank in Product Innovation - 1st Runners Up

Global Ratings and Accolades

**Banking
500
2024**

Brand Finance®

The Most Valuable and Strongest Banking Brands



Equity Group, East and Central Africa's largest financial services Group, has been named the 2nd strongest banking brand in the world. This is the Group's second consecutive appearance in the Brand Finance Banking 500 rankings, with an impressive Brand Strength Index (BSI) score of 92.5 out of 100 and an elite AAA+ brand strength rating

World's strongest banking brands 2025

- Position 2 - in the World
- Position 1 - in Africa
- Brand Strength Index (BSI) score of 92.5 out of 100
- Brand Strength Rating (BSR) of AAA+

10th most valuable banking brand in Africa

- Brand value rose by USD 22 million from last year's brand value of USD 428 million to USD 450 million (Kes. 64 billion)

Global Ratings and Accolades (continued)



Equity Group's MD and CEO, Dr. James Mwangi, was honoured in the 2019 Bloomberg 50 list. This is an honorary list of fifty innovators, entrepreneurs, and leaders who have impacted the global business landscape in measurable ways. Dr. Mwangi was lauded for his contribution in steering Equity Bank to have presence in the greater Central and Southern Africa region. He was honored alongside environmental activist Greta Thunberg, New Zealand Prime Minister Jacinda Ardern, CNN President and Warner Media Chairman Jeff Zucker, Singer and entrepreneur Rihanna, among others.

Global Ratings and Accolades (continued)

Dr. James Mwangi honouree, 2020 Oslo Business for Peace Award

Honourees are chosen by a prestigious Award committee consisting of past Nobel Prize winners in Peace Economics.

“Dr. James Mwangi receives the Award for his businessworthy values in championing financial inclusion for all in East and Central Africa. Dr. Mwangi helped achieve a social revolution by bringing banking services to people who previously had limited access to them bolstering Kenya’s GDP. Dr. Mwangi is an exceptional entrepreneur and humanitarian. The committee sees him as a shining example of how business leaders can accelerate change and help solve the world’s problems,” said Per Saxegaard, Founder of the Oslo Business for Peace Awards.



Global Ratings and Accolades (continued)

Equity Group Managing Director and Chief Executive Officer, Dr. James Mwangi was recognized and awarded the prestigious Lifetime Achievement Award at the All-Africa Business Leaders Awards held at Sun City, South Africa by the Africa Business News, the owners of CNBC Africa and Forbes Africa.

The All-Africa was awarded to individuals who have made a remarkable impact on their industry, country and the continent over a period of a lifetime.

The award was presented to Dr. Mwangi by the Deputy President of South Africa, His Excellency Paul Mashatile and Dr. Rakesh Wahi, Co-Founder and Chairman of Africa Business News Group.

Dr. Mwangi's remarkable leadership has propelled Equity Group to become the largest bank in East and Central Africa, positively impacting communities and driving economic progress.

(Photo Courtesy of MaruAnele Fotografik)



The 2023 Kenya – DRC Investors' Roadshow

Kenya Segment

Equity Group hosted investors who participated in the Kenya and DRC Investors' Roadshow aimed at unlocking business networks and fostering trade and investment opportunities in Kenya, the Democratic Republic of Congo (DRC) and the East African region. The roadshow kickstarted in Nairobi and ran through a series of meetings and site visits in Kinshasa and Lubumbashi in the DRC showcasing the immense potential for economic growth and development.



US Ambassador to Kenya, Meg Whitman (right) and Equity Group Managing Director and Chief Executive Officer, Dr. James Mwangi (left) engage in a fireside chat during the opening cocktail of the 2023 Kenya – DRC Investors' Roadshow.



Cabinet Secretary for Treasury, Prof. Njuguna Ndungu (left) and Equity Group Managing Director and CEO Dr. James Mwangi engage in a fireside chat during the Kenya segment of the 2023 Kenya – DRC Investors' Roadshow.

The 2023 Kenya – DRC Investors' Roadshow

Kenya Segment (continued)



The Central Bank of Kenya Governor, Dr Kamau Thugge (left), Karen Kandie, Director of Parastatals Reforms at the National Treasury and Planning (centre) and Equity Group Managing Director and CEO Dr. James Mwangi (right) during the official opening of the 2023 Kenya – DRC Investors' Roadshow in Nairobi.



Guests follow proceedings during the official opening of the 2023 Kenya – DRC Investors' Roadshow in Nairobi.

The 2023 Kenya – DRC Investors' Roadshow DRC Segment



Delegates arrive in Kinshasa and Lubumbashi for the DRC Segment of the 2023 Kenya – DRC Investors' Roadshow.

The 2023 Kenya – DRC Investors' Roadshow

DRC Segment (continued)



Kenya's Ambassador to DRC, Amb. George Masafu gives remarks at the luncheon hosted by EquityBCDC during the Kenya and DRC Investors Roadshow in Kinshasa, DRC.



Deputy Governor of Katanga Jean-Claude Kamfwa, addressing delegates during the Lubumbashi segment of the Kenya – DRC Investors Roadshow.



Equity Group Chairman Prof. Isaac Macharia (left) and Deputy Governor of Katanga Jean-Claude Kamfwa, during the Lubumbashi segment of the Kenya – DRC Investors Roadshow.



From left to right: The Managing Director of Kibali Goldmine Cyrille Mutombo, The Director of the Cabinet of the Minister in charge of Industry Jean-Dieudonné Kavese, the President of Glencore DRC Marie Chantal Kanyinda and Equity Group Managing Director and CEO Dr. James Mwangi engage in a panel discussion under the theme of Unlocking Trade and Investment Opportunities in Kenya and DRC.

A group of four diverse people are shaking hands in a friendly manner outdoors. From left to right: a man in a white chef's hat, a man in a white shirt and a patterned headband, a woman with long curly hair and glasses, and a young man in a light blue button-down shirt. They are all smiling. The background shows a bright blue sky with clouds and other people in the distance. There are four 'MEMBER' labels in white rounded rectangles with blue outlines: one in the top left, one in the top right, and two in the middle left area.

MEMBER

MEMBER

MEMBER

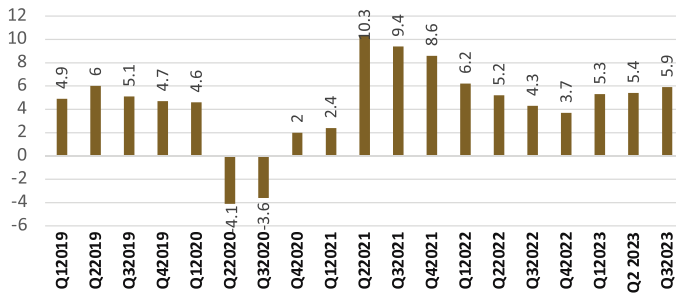
MEMBER

Macroeconomic Environment Indicators & Trends

Kenya: GDP growth of 5% (2024) vulnerable to tight economic policies

Downsides- High cost of living , interest rates ; tax burden , KES depreciation and public debt may subdue growth

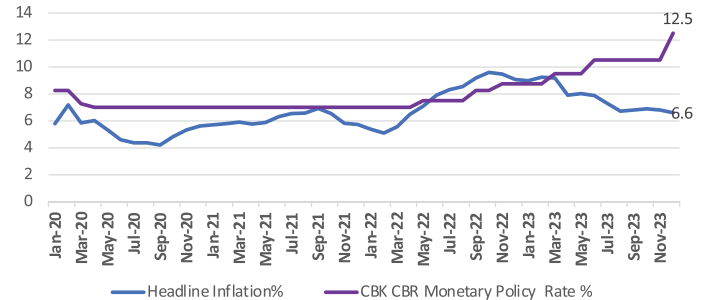
Kenya: Quarterly real GDP growth, % YoY



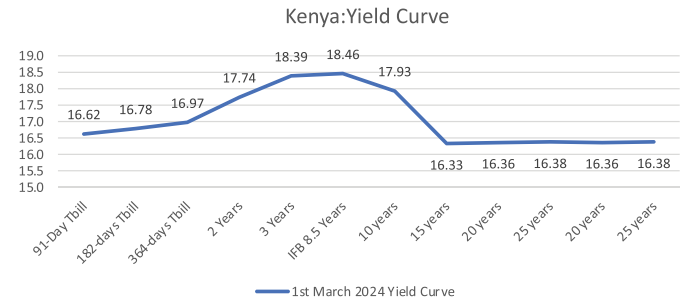
- Agriculture recovers; After contracting for five quarters, the agriculture sector grew by a strong 6.7% YoY in 3Q 2023 and followed services as the biggest contributor to quarterly real GDP growth of 5.9%.
- We forecast growth of 5% for 2024 that will be driven by agriculture's recovery from long rains and services sector growth.

Source: KNBS, CBK

Kenya: inflation and policy interest rate



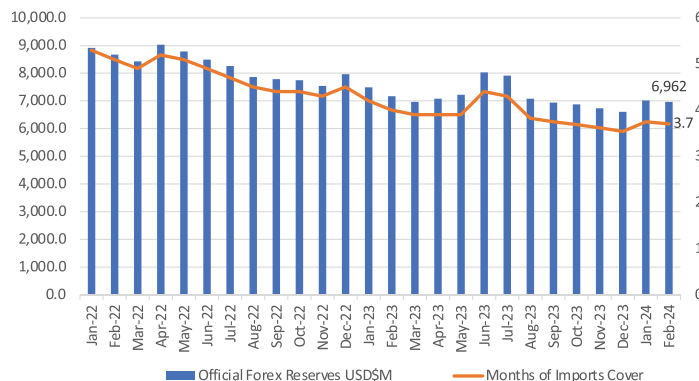
Kenya: Yield Curve %



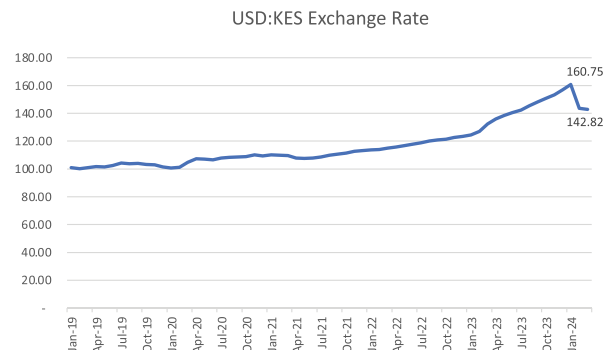
Kenya: Vulnerable external position

Slowdown in foreign financial inflows induced by higher for longer interest rates and Strong Dollar global funding freeze starts easing with oversubscribed EMDE Eurobonds before US FED starts FFR cuts.

Kenya: Official foreign reserves



Kenya: Exchange rate – KES/\$1

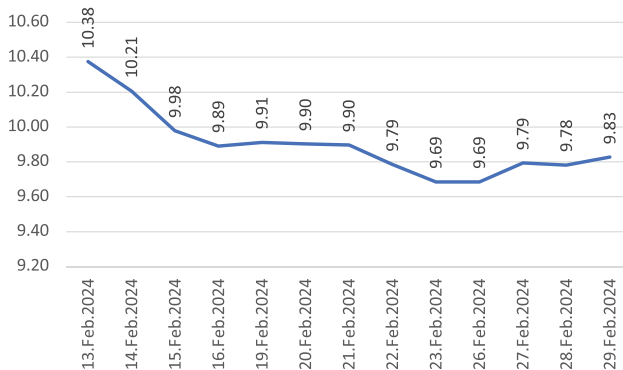


- FX Reserves are below 4 months of imports cover at 3.7 months on 29th Feb 2024 (USD\$ 6,962 Millions) with multilateral concessional balance of payments and budget support financing by World Bank; IMF, TDB and AFDB buffering reserves.
- The narrowing of current account deficit has not been enough to counter the impact of declining foreign financial inflows emanating from funding freeze of EMDEs due to higher US Fed FFR; SOFR and risk premiums but investors appetite for high yielding EMDE Eurobonds is high with oversubscription of Kenya's new 2024 Eurobond and IFB 8.5 years.
- USD/KES has appreciated by -11.15% from January 2024 to KES 142.82/\$1 on 6th March 2024.

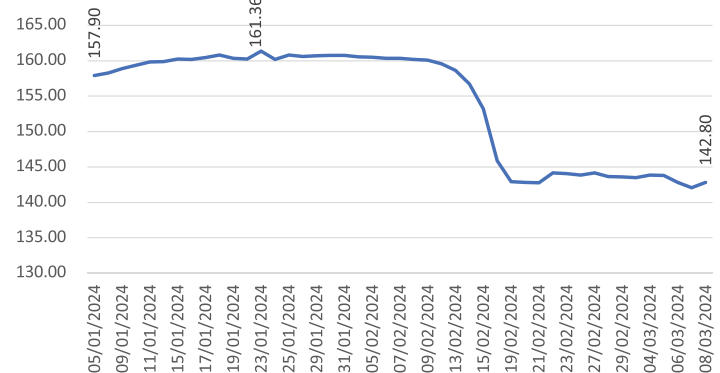
Source: CBK

Kenya: New USD\$1.5Bn (10.375%), Eurobond Buy Back and IFB 8.5 Years (18.46%) eased pressure on USD/KES rate and increased Investors Confidence on Kenya

55bps Decline in Yields of Kenya's New USD\$1.5bn 6 Years 2031 Eurobond



Appreciation of USD/KES Traded Weighted Average Indicative Exchange Rates



- The new 6 years Eurobond allayed investors jitters on June 2024 Eurobond, relieved USD/KES pressure and its yields have fallen 55bps.
- The Kenyan government floated 8.5 Years Infrastructure bond which had a 412.4% performance amounting to Kes 288.7 Billion, with bids accepted amounting to Kes 240.9 Billion. The IFB subscription by Foreign currency investors increased domestic Foreign currency supply thus strengthening the shilling by 9.56% and closed LCY Deficit Financing lag.

Source: CBK

DRC – GDP growth driven by the extractive economy

Growth of extractive economy GDP is stabilizing

Figure 10: DRC – copper production tons

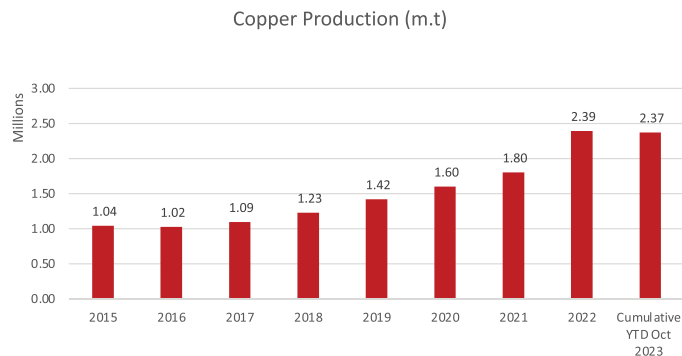
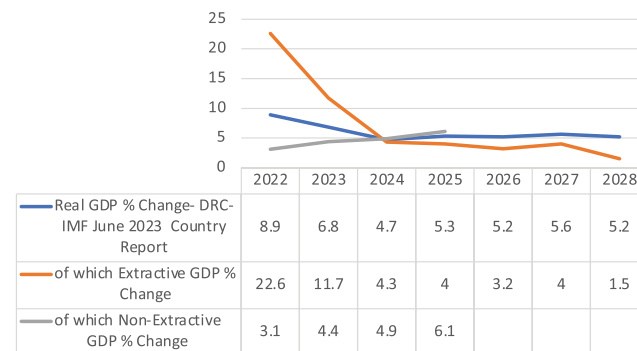


Figure 11: DRC – real GDP growth, %



- The DRC economy grew by a brisk 8.9% in 2022, on the back of the acceleration of the extractive sector's growth to 22.6%.
- An expansion of mines and new smaller mines explains the increase in mining production, according to the IMF.
- However, the non-extractive economy grew by a relatively modest 3.1%.
- The DRC's growth is expected to moderate to 6.8% in 2023,, owing to a slowdown in the extractive industry's growth to 11.7% in 2023 and further fall to 4.3% in 2024 and 4% in 2025.
- Non-extractive economy's growth is expected to strengthen to 4.4% in 2023 and further to 4.9% in 2024 and 6.1% in 2025.
- Downside- Geopolitical risks from Eastern DRC conflict.

Source: BCC ; IMF

DRC: Stemming elevated inflation and USD/CDF depreciation.

Aggressive BCC contractionary monetary policy response to tame inflation and stem capital flight to support CDF from Strong Dollar depreciation.

Figure 12: DRC – Inflation and Central Bank Rate

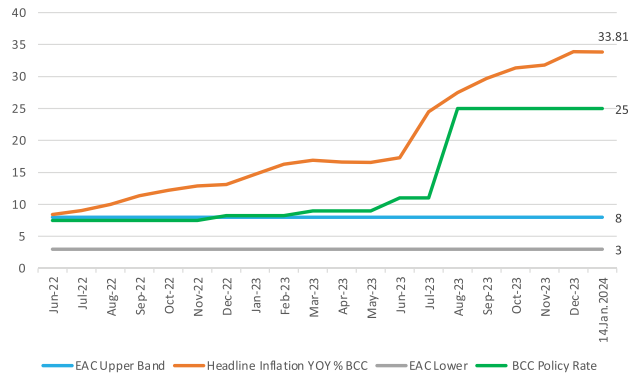
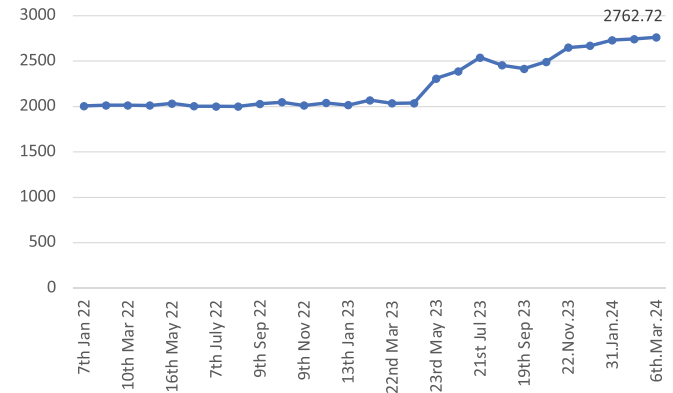


Figure 13: DRC – Official exchange rate, CDF/\$1



- The DRC's headline inflation accelerated to 33.81% on 14th January 2024 driven by government spending, USD/CDF depreciation and imported inflation.
- The CDF was 35.65% YOY depreciated at CDF 2,762.62/\$1 on 6th March 2024.
- BCC hiked its CBR by 1,400bps from 11% in July 2023 and paused it at 25% from August 2023 to date in a bid to tame high and rising inflation, slow

Source: BCC

DRC: Strong copper price

Smaller current account deficit over medium term is positive for DRC's external position

Figure 14: DRC – Current Account % of GDP

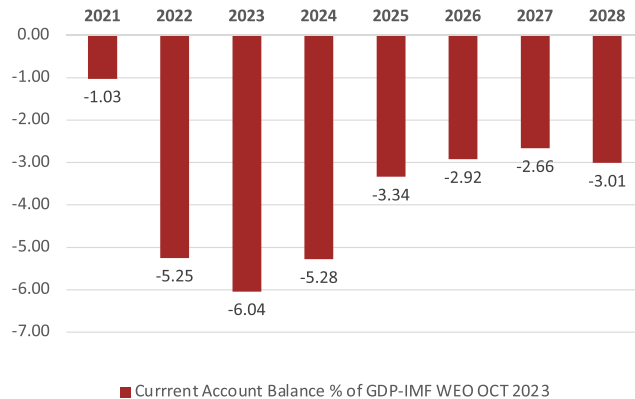
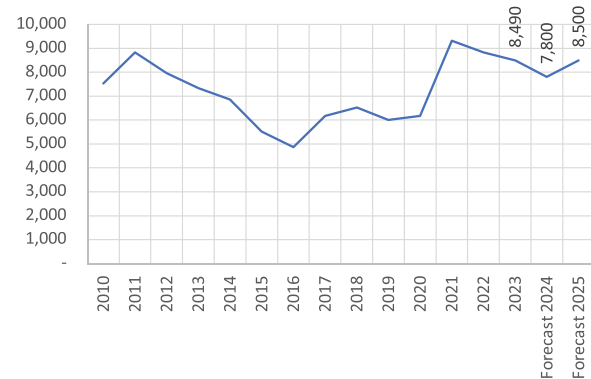


Figure 15: DRC – Copper Price (\$/mt)- Actual and Forecast



- Clean energy transition from oil and coal fuels will significantly heighten demand for aluminum, copper, nickel, and tin by 2025.
- The copper price stood at USD \$8,409.29 per MT and is expected to remain strong over the medium term partly explaining why DRC current account deficit is projected to narrow over that period (a positive for the DRC's external position)
- Downside risk to the current account is higher than planned government spending on imports which would exert further pressure on the Congolese Franc to depreciate.

Source: IMF ; World Bank

Uganda: Successfully restored low and stable inflation.

Fall in food inflation plus sharp and early BOU CBR rate hikes explain significant slowdown in inflation.

Figure 16: Uganda: Inflation And Policy Interest Rate(%)

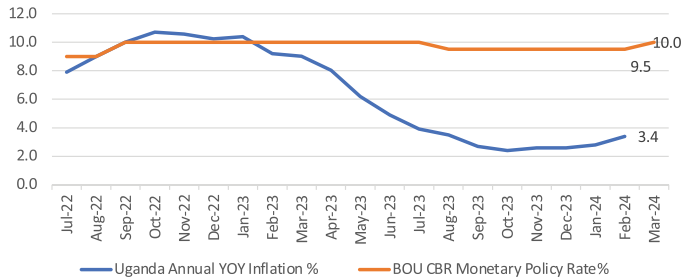
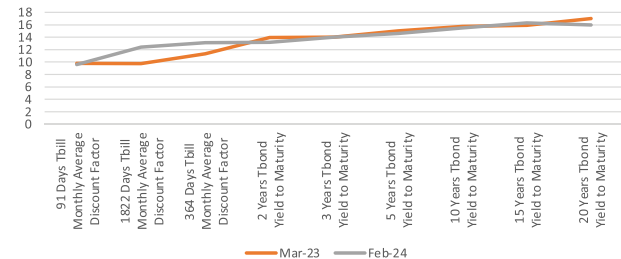


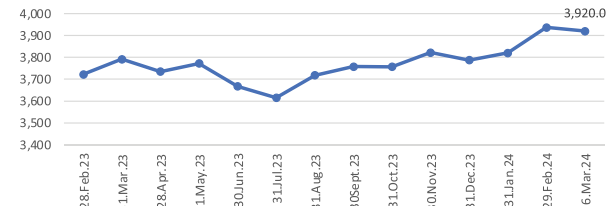
Figure 17: Uganda: Yield Curve(%)



- Uganda's headline inflation is low but rose to 3.4% in February 2023 due to fall in food inflation and tight BOU monetary policy.
- MPC increased CBR by 350bpts in 2022 to 10.0%, cut it by 50bps to 9.5% in August but hiked it by 50bps back to 10% in March 2024 as inflation threatens to rise above 5% medium term target and also to support capital inflows and USD/UGX strengthening.
- We see inflation in the low-to-mid-single-digits in 2024.
- The shilling appreciated by 3.39% against the USD YOY to UGX 3,920/\$1 on 6th March 2024.
- The UGX has also strengthened against currencies of its regional trade partners meaning it has become overvalued and may thus come under pressure to depreciate widening current account deficit when funding oil sector CAPEX as the country gears towards the 2025 oil exports target.

Source: UBOS, BOU MEPD

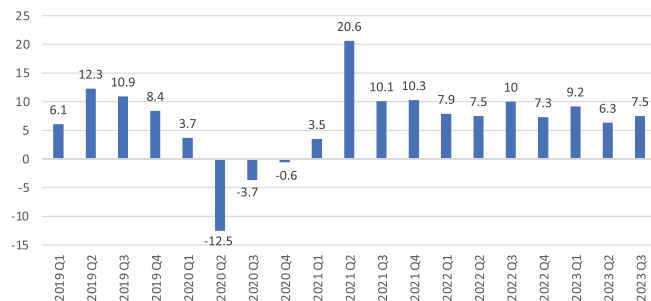
Figure 18: Uganda: Foreign Exchange Rate UGX/\$1



Rwanda: Fast growth driven by services sector

Tight fiscal and monetary policy and a disruptive El Nino may subdue growth.

Figure 18: Rwanda: Quarterly Real GDP Growth, % YoY



- Rwanda's Q3 2023 real GDP grew by 7.5% driven by services GDP expansion of 9%, industry GDP by 14% while agriculture GDP rebounded to grow 3%.
- Tight fiscal consolidation and monetary policy that saw NBR raise CBR to 7.5% to tame inflation to a low of 3.1% in January 2024, stem capital flight and USD/RWF depreciation is likely to moderate GDP growth to around 7% in 2024.
- Downside- Eastern DRC geopolitics.
- The Rwandan Franc weakened by 16.37% YOY on 5th March 2024 to RWF 1297.05/\$1.
- A widening current account deficit from imports and new Bugesera International Airport construction CAPEX is putting the RWF under continued pressure to depreciate but IMF has approved climate change shock budget and Balance of Payments loans that are buffering Central Bank FX Reserves to above 4 months of imports cover.

Source National Institute of Statistics Rwanda; BNR

Figure 19: Rwanda: Inflation & Monetary Policy Interest Rate

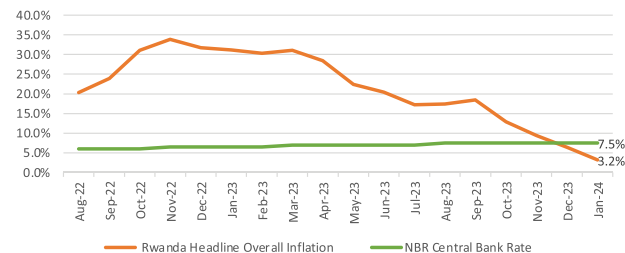
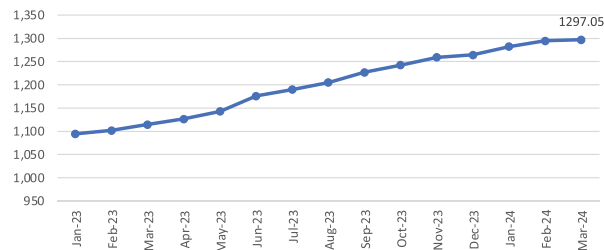


Figure 20: Rwanda: Foreign Exchange Rate, RWF/\$1



Tanzania: Pick up in GDP growth

Growth to average 7.0% in medium term driven by minerals , LNG gas and government mega infrastructure

Figure 20: Tanzania: Real GDP Growth, % YoY

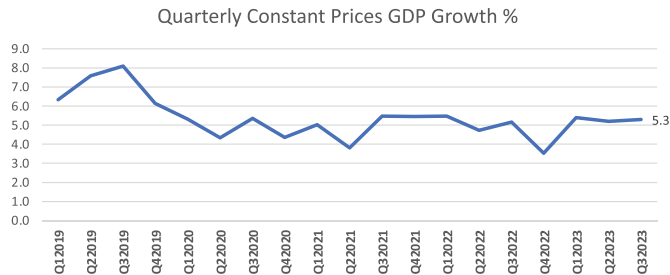
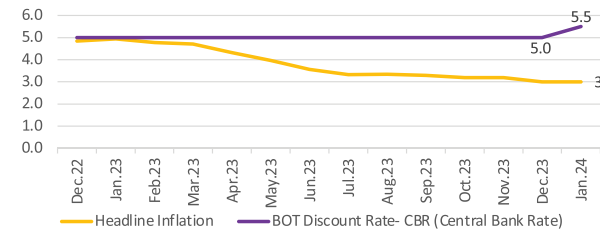


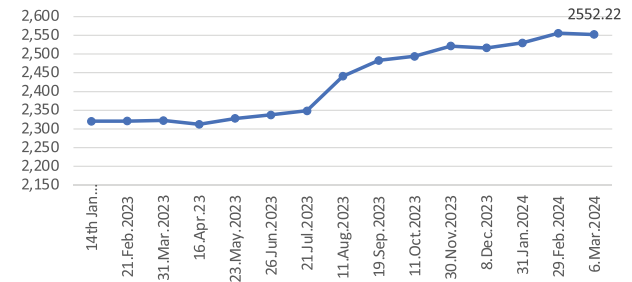
Figure 21: Tanzania: Inflation And Policy Rate



- Tanzania's quarterly GDP growth stood at 5.3% in Q3 2023 with IMF forecasting annual growth at 5.2% in 2023, 6.2% in 2024 .
- Growth is forecasted to rise to 7.0% over the medium term from government's reforms and LNG USD \$42bn project.
- Inflation remains low within BOT 3%-8% target range pausing at 3% in January 2024 but hiked new CBR by 50bps to 5.5%.
- YOY USD/TZS has depreciated by 9.87% to Tzs 2,552.22/\$1 on 6th March 2024.
- A continued recovery of tourism, FDI and softer global commodity prices are expected to help narrow Tanzania's current account deficit and support the TZS.

Source: NBS; BOT; IMF

Figure 45: Tanzania: Foreign Exchange Rate, Tshs/\$1



South Sudan: Fall in oil production and global prices

GDP growth and current account also undermined by instability in Sudan (Khartoum)

Figure 22: South Sudan – Sources of Real GDP Growth, %

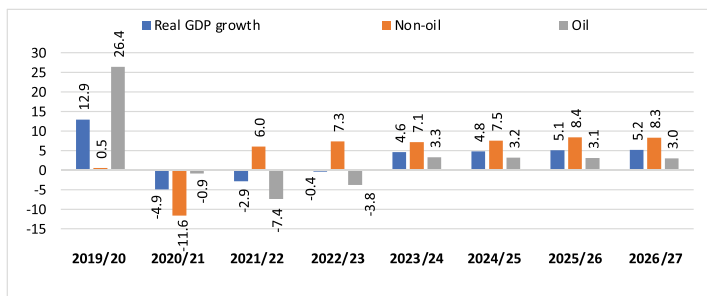
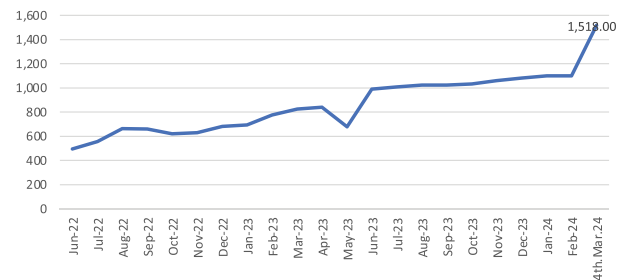
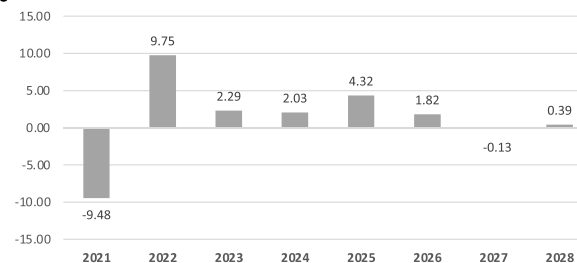


Figure 23: South Sudan: Foreign Exchange Rates, SSP/\$1



- The oil sector – which accounts for 70% of GDP – saw production decrease from 170k bpd in FY2019/20 and is estimated to have averaged 150k bpd in FY2022/23 by the IMF.
- The government expects production to decrease further to 132k in FY2023/24, which is negative for growth although non-oil and agriculture sectors are expected to increase their GDP contributions.
- South Sudan started implementing IMF FX reforms in early 2021, including converging official and parallel exchange rates but both rates continue to be depreciated against the USD.
- The USD/SSP surged YOY depreciation to 83.9% to SSP1, 518/\$1 on 4th March 2024 due to de-dollarization following ban on USD denominated transactions but Central Bank announced selling of USD to the market.
- Imported inflation pushed National inflation to 5.8% and Juba inflation to 23.9% in December 2023.
- Downside risks- heightened political activities for the 2024 President, National Assembly & Local Elections; Sudan (Khartoum) war humanitarian crisis.

Figure 24: South Sudan: Current Account Deficit % of GDP



Source: IMF; BOSS, NBS

Case Studies

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